



HINDUSTAN COPPER LIMITED

(A Government of India Enterprise)

PRESENT BOARD OF DIRECTORS

Shri B. K. Menon

Chairman-cum-Managing Director

Shri Rana Som

Director (Personnel)

Smt. Adarsh Misra

Shri Hem Pande

Shri V. K. Chanana

Shri S. B. Kucheria

COMPANY SECRETARY

Shri C. S. Singhi

AUDITORS

M/s. M. C. Bhandari & Company, Kolkata

M/s. Dinesh Mehta & Company, New Delhi

BANKERS

State Bank of India

State Bank of Bikaner and Jaipur

Indian Overseas Bank

United Bank of India

Syndicate Bank

Punjab National Bank

State Bank of Hyderabad

REGISTERED OFFICE

Tamra Bhavan

1, Ashutosh Chowdhury Avenue

Kolkata-700 019



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REPORT OF THE BOARD OF DIRECTORS

The Shareholders Hindustan Copper Limited Kolkata

1. Your Directors have pleasure in presenting the thirty-fifth Annual Report of the Company together with the audited statement of accounts and Auditors' Report thereon for the year ended 31st March, 2003.

2. GENERAL

2.1 The production performance of the Company in respect of major items during 2002-2003 is given below :

Item	1. 4. 2002 to 31. 3. 2003		
	Target	Actual	% Achievement
Ore Production ('000T)	3080	3064	99
Metal in Concentrate (T)	33500	30824	92
Cathode (T)	45000	36575	81
Wire Rod (T)	33000	30346	92

2.2 During the year ending 31st March, 2003, copper sales was 37187 tonnes. The turnover during the year was Rs.505.68 crores and company ended the financial year 2002-2003 with a net loss of Rs.147.70 crores compared to net loss of Rs.184.04 crores during 2001-02.

2.3 During 2002-2003, there was a total reduction in manpower of 1637 out of which 1570 were separated through VRS. The cost of separation of 1570 employees through VRS was Rs.136.68 crores. As on 31.3.2003 total manpower strength of HCL was 7865.

3. PRODUCTION PERFORMANCE

Products	2002-2003 (April 2002 to March 2003)				2001-2002 (April 2001 to March 2002)			
	KCC	ICC	MCP	Total	KCC	ICC	MCP	Total
Ore Raised ('000 T)	702	89	2273	3064	898	274	2224	3396
Ore Milled ('000 T)	738	89	2318	3145	763	274	2253	3290
Metal in Conc. (T)	7306	786	22732	30824	7635	2562	24085	34282
Blister Copper (T)	29281	15313	—	44594	30342	13295	—	43637
Cathodes (T)	24026	12549	—	36575	27578	12640	—	40218
CC Wire Rod (T)	—	—	—	30346	—	—	—	29583

KCC-Khetri Copper Complex, ICC-Indian Copper Complex, MCP-Malanjkhand Copper Project.



3.1 At Malanjkhand Copper Project, ore production of 22.73 lakh tonnes and ore milling of 23.18 lakh tonnes during the year 2002-2003 was all time high record since inception.

3.2 The by-products produced by the Company during the year was as follows :

Gold – 354 Kgs., Silver – 6178 Kgs., Sulphuric Acid – 29004 T, Selenium – 6648 Kgs., Nickel Sulphate – 75 T

4. POWER SUPPLY POSITION

Power supply position in the Company was more or less satisfactory except in ICC Unit. At ICC regular power cuts during peak hours was experienced on a regular basis during the 2nd half of the year.

5. ENERGY CONSERVATION

HCL continued to give priority for energy conservation measures at various stages of process from mining of ore to extraction of Copper metal and other by-products. Special efforts were made in making the operations energy efficient. In certain areas the company was able to achieve reduction in specific consumption rates over the previous year. The important areas of reduction in consumption are given below :

	Specific Consumption	Unit	2002-2003	2001-2002
1.	Mining Power-MCP	KWH/T	0.992	1.056
2.	Mining Power-KCC	KWH/T	16.27	17.42
3.	Ore Milling Power-KCC	KWH/T	24.61	24.79
4.	Refinery Power-KCC	KWH/T	372.28	390.11
5.	Sulphuric Acid Power-ICC	KWH/T	152.90	187.46
6.	Refinery Power-ICC	KWH/T	293.15	302.08
7.	Wire Rod Power-TCP	KWH/T	113.73	120.71
8.	Smelter Oxygen-KCC	NM ³ /T	703.31	709.61
9.	Smelter Oxygen-ICC	NM ³ /T	463.77	474.65

6. FINANCIAL

6.1 The financial results of the company during the year 2002-2003(April 2002 to March 2003) compared with 2001-2002(April 2001 to March 2002) are summarised below :

(Rs. in Crores)

	Head	2002-2003	2001-2002
a.	Sales	505.68	604.98
b.	Value of Production	500.95	568.96
c.	Cost of production excluding depreciation, provisions, write-off/write-back and interest	554.56	644.27
d.	Profit/(Loss) before depreciation, provisions, write-off/write-back and interest	(53.61)	(75.31)
e.	Depreciation, provisions, write-off/write-back	34.52	41.30
f.	Interest – Government Loan – Others	0.00 59.57	0.00 67.43
g.	Profit/(Loss) before tax	(147.70)	(184.04)
h.	Provision for tax	0.00	0.00
i.	Profit/(Loss) after tax	(147.70)	(184.04)

6.2 The cash loss during 2002-2003 was Rs.113.18 crores as compared to the cash loss of Rs.142.74 crores in 2001-2002.

6.3 The capital structure of the company as on 31.3.2003 stood as under :

(Rs. in Crores)

Share Capital

a. Authorised Capital

(i) Equity Share of Rs. 10/- each	600.00
(ii) 7.5% Non-Cumulative Preference Share of Rs.1000/- each	200.00

b. Issued, Subscribed & Paid up Capital

(i) Equity Share	362.88
(ii) 7.5% Non-Cumulative Preference Share	180.73

c. Share money awaiting allotment 251.50



6.4 Investment in Equity by Government

During the year 2002-03, HCL has received Rs. 85.00 crores as equity from the Govt. out of which Rs. 25.00 crores was on account of Plan Expenditure and the balance Rs. 60.00 crores on account of Working Capital.

6.5 Grant-in-Aid from Government

HCL has received Rs. 220.00 crores from the Govt. as Grant-in-Aid during the year 2002-03 towards separation of manpower through VRS.

6.6 Bonds (Secured and Unsecured)

Out of the total 14.00% Unsecured privately placed bonds of Rs. 63.33 crores, the company has already redeemed Rs.38.83 crores leaving a balance of Rs. 24.50 crores even though the bonds are overdue for payment.

The details of total Bonds and Debenture liability as on 31.3.2003 stood as under :

(Rs. in Crores)

14.00% Unsecured Bonds	24.50
14.75% Secured Bonds	12.27
15.00% Secured Bonds	29.55
10.65% Secured Bonds	150.00
14% Debenture	100.00
Total	316.32

6.7 Contribution to Exchequer

During the year 2002-2003, the company contributed a total sum of Rs. 105.54 crores to the exchequer as shown below :

(Rs. in Crores)

Particulars	
Excise Duty	71.27
Customs Duty	13.65
Sales Tax	8.78
Royalty and Cess	8.89
Others	2.95
Total	105.54

6.8 Expenditure in foreign currency

During 2002-2003, the company spent foreign currency towards import of raw material, components, stores and spares etc. to the tune of Rs.49.89 crores. This includes mainly import of concentrate to the tune of Rs. 44.75 crores and components, spare parts & stores amounting to Rs. 5.14 crores.

7. MARKETING

7.1 During the year 2002-2003, the total sale of Copper was 37187 MT as against 45501 MT in 2001-2002.

7.2 Out of the above total copper sale, CC Rod sale during 2002-2003 was 29707 MT as against 31603 MT in 2001-2002.

7.3 The sale of wire bar was 2366 MT during the year as against 4756 MT in 2001-2002.

7.4 The sale of Cathode & Misc. copper during the year was 5114 MT as against 9142 MT in 2001-2002.

7.5 In 2002-03, there was considerable reduction in the orders from Jelly Filled Telecom Cables Sector which has affected the sale of CC Rods. Further, substantial imports of duty free copper products from Sri Lanka under the Indo Sri Lanka Treaty has resulted into customers shifting to imports which are cheaper due to the duty differential.

Lifting of Wire Bar by Ordnance Factory in 2002-03 has reduced as compared to 2001-02 by approx. 1200 MT since they have gone for import of cathodes which are bought on high sea sales. Cathode lifting by IG Mint for 2002-03 was also less by approx. 4000 MT as compared to 2001-2002 since they had not placed new order for this year.

The above factors coupled with very stiff competition from private sector companies, whose total capacity for refined copper production is in excess of the domestic demand, affected the sale of Copper.



8. PROGRESS OF NEW PROJECTS/ EXPANSION SCHEMES

Consequent upon Government decision for disinvestment of Hindustan Copper Limited and as suggested by PAMD of Planning Commission that expansion in the capacity of KCC Smelter and Refinery to be left to the new management, the proposal for expansion/ technological upgradation of KCC Smelter was dropped.

9. DEVELOPMENT OF SSI AND ANCILLARY UNITS

All units of Hindustan Copper Limited continued to follow the Government guidelines in encouraging procurement of materials from SSI & Ancillary units in or around their areas. Items like Grinding media, Earth moving equipment, spares etc. are regularly purchased from SSI/ NSIC Units. SSI and Ancillary Units are also provided assistance to develop import substitution items.

10. RESEARCH & DEVELOPMENT

- i) Specific areas in which R&D activities carried out during the year : Nil
- ii) Benefits derived as a result of R&D : N.A.
- iii) Future plan of action: In view of critical financial condition of the Company, HCL suspended its direct R&D activities.
- iv) Expansion on R&D : Not applicable

11. SCIENCE & TECHNOLOGY/TECHNOLOGY ABSORPTION

During the year, Company concentrated on improving the operational practices with a view to reduce processing cost. No new technology has been absorbed during the year.

12. PERSONNEL AND INDUSTRIAL RELATIONS

- 12.1** The Industrial Relations situation in HCL during 2002-2003 had been peaceful and broadly harmonious. There was no mandays/production loss due to strike or any other form of labour unrest.

- 12.2** The Key Result Area, during the year under review, has been manpower rationalisation through Voluntary Retirement and closure of uneconomic operations with emphasis on improved labour management relations.

- 12.3** In August, 2002, HCL approached the Ministry of Labour, Government of India through its Administrative Ministry for the closure of two of its uneconomic operations under the Industrial Disputes Act, 1947 namely the Surda mine and other establishments at Mosaboni located in the State of Jharkhand and Khetri mine in the State of Rajasthan. After two rounds of joint hearings of the representatives of the Management and the unions operating at Mosaboni, the Ministry of Labour, Government of India, on 5.6.2003, granted permission to close the establishments of HCL at Mosaboni. Accordingly, the said establishments at Mosaboni were closed on 17.6.2003 and the affected workmen numbering 1140, who were offered the benefits of the Company's Voluntary Retirement Scheme, got separated. During the period under review, the manpower was reduced from 9502 to 7865 indicating a reduction of 1637 employees out of which 1570 were released under the Company's Voluntary Retirement Scheme.

13. RESERVATION FOR APPOINTMENT OF SC/ST/OBC CANDIDATES

The Presidential directives on reservation of posts for Scheduled Castes, Scheduled Tribes and Other Backward Classes are followed in its letter and spirit. The representation of SC, ST and OBC employees out of the total manpower of 7,865 is 15%, 14% and 9% respectively as on 31.3.2003.

14. EMPLOYEES PARTICIPATION IN MANAGEMENT

Employees Participation in Management has been the backbone of harmonious Industrial Relations in the Company over the years. At all the three levels namely at the Apex level, Unit level and Shop floor level, the successful



operation and functioning of various Bi-partite forums has immensely contributed in the reduction of cost and in areas of Production, Safety, Welfare etc.

15. COMMUNAL HARMONY AND NATIONAL INTEGRATION

In the Townships of the Company located at Khetri, Malanjkhand and Ghatsila as well as in other places of work, the employees of different caste, creed, religion cohabitate in a spirit of togetherness and celebrate all religious festivals with pomp and gaiety.

16. EMPLOYMENT SITUATION OF WOMEN

The Groupwise strength of female employees as on 31.3.2003 vis-à-vis the total strength of HCL is given below :

Group	Total Strength	No. of Female Employees	% of Female Employees to Total Strength
Group A	758	20	2.64
Group B	150	10	6.67
Group C	5913	198	3.35
Group D	1044	194	18.58
Total	7865	422	5.37

In pursuance to the judgement of the Supreme Court, HCL has set up Committees in all the Units/Offices of the Company for the Prevention of Sexual Harassment of Women in Work Place. A provision has also been incorporated in the Conduct, Discipline and Appeal Rules of HCL.

During the year under report, no incidence of discrimination amongst employees on the basis of gender has come to light.

17. HUMAN RESOURCE DEVELOPMENT

Training and development of all levels of employees was given due priority by the company to increase effectiveness. Special emphasis was given to organisation building and shaping right attitudes, team building and work culture besides preparing employees to

understand the trends in fast changing technology/switching over to latest technology for achieving higher results in production, productivity and profitability.

Workers :

Apart from Statutory, Safety, Technical and Functional Programmes, workers were exposed to General Education and Development Programmes. Special programmes were conducted for weaker sections i.e. Scheduled Castes and Scheduled Tribes employees. A total of 2105 workers attended various training programmes conducted in Training Establishments in our Projects.

Supervisors :

48 first line shop floor and Mine Supervisors attended Supervisory Development Programmes on Productivity, Safety, Cost Control, Communications and Human Relations.

Executives :

Based on systematic identification of training needs of executives, In-company Management Development Programmes were planned with the best faculty available in the country. 154 executives were exposed to either In-company Programmes or were sponsored in prestigious programmes conducted by various establishments in the country.

18. PROGRESSIVE USE OF HINDI

Intensive efforts were made to fulfil the targets prescribed by Government of India with regard to increase in the use of Hindi in units and offices during the year 2002-03. Employees were motivated to use their working knowledge of Hindi in day to day official work. Check points were made more effective to ensure 100% compliance of Section 3(3) of Official Language Act. Hindi week, Hindi fortnight and Hindi workshops were organised in all the units/offices of the company. Various competitions were organised during the Hindi week and Hindi fortnight and the winner participants were given prizes. Regular review in regard to progress of



Hindi use and difficulties faced were carried out in the quarterly meetings of Official Language Implementation Committee under the chairmanship of the CMD at Head Office and Unit Heads in Units. During the year the inspection committee of the Ministry of Mines visited the Head Office to inspect the progressive use of Hindi at Head Office. The committee expressed its satisfaction regarding the quantum of work being done in Hindi. The company also participated in the meetings of Koltolic (Kolkata Town Official Language Implementation Committee) and competitions held under its supervision as well as workshop/ Seminar on computer organised under the banner of C-DAC, Pune at Kolkata. The latest bilingual softwares have also been installed in the computers to increase the use of computers in Hindi.

19. SAFETY

Safety continued to be a priority area for short term as well as long term activities of the Company. The total number of injuries in Mines during 2002-2003 came down to 10 from 16 during 2001-02 registering a reduction of 37.5%. No fatal accident occurred during the year.

The recommendations of Ninth Conference on Safety in Mines and the decisions taken in Tripartite Safety Committee Meetings are being implemented. Safety matters were also discussed at Corporate level with Project Heads and representatives of the recognised Trade Unions.

20. VIGILANCE ACTIVITIES

During the year, HCL finalised 3 major penalty cases and 2 minor penalty cases on conclusion of departmental proceedings. Also during the year 7 more Vigilance Cases were disposed off at the investigation stage. In addition to above 19 complaints were probed. 1 officer has been placed under suspension.

For effective control, surprise checks/regular inspections were conducted. Returns and Reports

were submitted to the statutory agencies and the CVC guidelines, received from time to time, were followed and adhered to as precautionary and preventive measures.

21. FUTURE OUTLOOK

Government of India has decided to disinvest its entire holding of 98.95% in HCL to a strategic buyer. M/s. A F Ferguson & Company has been appointed as Adviser for helping the Government in the disinvestment process. The Due Diligence Team of two interested parties have completed plant visit and inspected all the documents and records kept by the Company in the Data Room set up at HO.

The Adviser has prepared the draft of Share Purchase Agreement (SPA) and the same has been more or less finalised. It is also understood that CCD in its meeting held on 10th July, 2003 has approved proposal of HCL including SPA and Department of Disinvestment may now call financial bids from the two interested parties at any time. Simultaneously, pending completion of the disinvestments process, HCL is pursuing the turn around strategy formulated by the company to improve its operating results. In terms of the strategy HCL has closed down the Surda Mine and Concentrator Plant at Mosaboni along with allied departments and services with effect from 16th July, 2003 and at present pursuing with the Government for the closure of Khetri Mine at KCC.

The company now aims at eliminating the operating losses first and then to achieve a cash break even in near future. For this purpose, efforts are being made to reduce the cost by improving operational efficiency, bringing down manpower further, transferring Rakha and Mosaboni township to Jharkhand State Govt., sale of Corporate Office in Kolkata and by reduction in interest burden cost.

22. STATUS OF MINING LEASE

During the year, two mining leases pertaining to



Malanjkhand were renewed for a validity period upto 26.8.2013 by Government of Madhya Pradesh. HCL's application for grant of two more leases for Malanjkhand is under process with State Government. For other operating mines HCL is having valid mines leases. HCL may have to transfer Mining Lease for Surda Mine to "Musaboni Ex-Employees Self Supporting Labour Co-Operative Society Ltd." as & when required. Application for surrender of Rakha Mining Lease has been submitted to Jharkhand State Government on 17.5.2002. Final approval from State Government is awaited.

23. CORPORATE GOVERNANCE

A report on Corporate Governance as per SEBI directives and Stock Exchange Listing requirement is given in Annexure-I forming part of this report together with Statutory Auditors' Certificate on Corporate Governance.

24. DIRECTORS' RESPONSIBILITY STATEMENT

- i. Your Directors confirm that in the preparation of the Annual Accounts for the year ended 31st March, 2003, the applicable accounting standards had been followed along with proper explanations relating to material departures/variations.
- ii. Such accounting policies have been selected and applied which are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of 31st March, 2003 and of the Profit or Loss of the company for the year.
- iii. Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities.
- iv. The Directors had prepared the annual accounts on a going concern basis.

25. PRESIDENTIAL DIRECTIVES

The Company did not get any Presidential Directive during 2002-2003.

26. BOARD OF DIRECTORS

After the conclusion of the last annual general meeting of the company, the following changes occurred in the Board of Directors :

Government has appointed Shri Hem Pande, Joint Secretary, Ministry of Mines as Director of the company w.e.f. 1.7.2003 in place of Dr. Sutanu Behuria who ceased to be a director from 1.7.2003.

The Board expresses its appreciation for the valuable services rendered and contribution made by Dr. Sutanu Behuria during his tenure on the Board of HCL.

27. AUDITORS

M/s. Dinesh Mehta & Company, New Delhi and M/s. M C Bhandari & Company, Kolkata were appointed as Joint Statutory Auditors to audit the accounts of the Company for the year 2002-2003.

M/s. H Tara & Company, New Delhi and Mr. Sekhar Ranjan Guha, Kolkata were reappointed/appointed as Cost Auditors of the Company to audit cost accounts relating to manufacture of Sulphuric Acid at KCC and ICC respectively for 2002-2003.

Auditors' Remuneration

In accordance with Section 224 of the Companies Act, 1956 amended by the Companies (Amendment) Act, 2000, the remuneration of Auditors to be appointed under Section 619 by the Comptroller and Auditor General of India, is required to be fixed by the Company in a general meeting or, in such manner, as the Company in general meeting may determine. Accordingly, an Ordinary Resolution under the Ordinary Business has been recommended by the Board for fixing the remuneration of the Statutory



Auditors for 2003-2004 to be appointed by the Central Government on the recommendations of the Comptroller and Auditor General of India for consideration by the shareholders.

28. COMMENTS OF C&AG AND STATUTORY AUDITORS & MANAGEMENT REPLIES THEREON

The comments of C&AG under Section 619(4) of the Companies Act, 1956 on the accounts of the Company for the year ended 31.3.2003 alongwith the Review of Accounts of your Company by C&AG and Statutory Auditors' observations alongwith Management replies thereto are annexed to this report.

29. PARTICULARS OF EMPLOYEES IN TERMS OF SECTION 217(2A) OF THE COMPANIES ACT, 1956

There was no employee of the Company who received remuneration in excess of the limits prescribed under Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975.

30. APPRECIATION

In conclusion, your Directors wish to place on record their appreciation of the hard work put in by all the employees of the company during the year under review. The Board also gratefully acknowledges the valuable guidance and co-operation received from the Ministry of Mines and other Ministries/ Departments of the Government of India and the support received from the State Governments of Rajasthan, Jharkhand, Madhya Pradesh, Maharashtra, West Bengal and the Company's Bankers, Auditors, C&AG, customers and the office bearers of the recognised trade unions of different projects.

For and on behalf of the Board of Directors

B. K. Menon

Chairman-cum-Managing Director

Dated : July 23, 2003

Place : New Delhi

ANNEXURE – I TO THE DIRECTORS' REPORT

REPORT ON CORPORATE GOVERNANCE

The SEBI has introduced a comprehensive code on Corporate Governance and Listing Agreement has been accordingly amended. The Clause 49 of the Listing Agreement has made certain mandatory and non-mandatory provisions for Corporate Governance for compliance by the listed companies.

Philosophy of Company on Corporate Governance

Good Corporate Governance means the adoption of best business practices which ensure that the Company operates not only within the regulatory framework, but is also guided by ethics. The adoption of such corporate practices ensures accountability of the persons in charge of the company on the one hand and brings benefits to investors, customers, creditors, employees and the society at large on the other.

MANDATORY REQUIREMENTS

1. Board of Directors

(a) Board Composition :

The Company has an optimum combination of executive and non-executive Directors. At present, the Board comprises of seven Directors. These include (i) Three Functional Directors viz. CMD, Director(Finance) and Director(Personnel); (ii) Two independent Part-time Official Directors representing Ministry of Mines, Govt. of India; and (iii) Two independent Part-time Non-official Directors. The post of one Functional Director viz. Director(Operations) and one Part-time Non-official Director is lying vacant.

The members of the Board apart from receiving director's remuneration do not have any material pecuniary relationship or transactions with the company, its promoters which in the judgement of Board may affect independence of judgement of the Directors.

The details of the members of the Board are given below :

Name	Category of Director	No. of other Directorships	No. of outside Committee position held	
			Chairman	Member
Executive				
Shri B. K. Menon, CMD	Functional	–	–	–
Shri S. K. Kar, D(F)	Functional	–	–	–
Shri Rana Som	Functional	–	–	–
Non-executive/Independent				
Smt. Adarsh Misra	Part-time Official	–	–	–
Dr. Sutanu Behuria*	Part-time Official	5	3	2
Shri Hem Pande*	Part-time Official	2	–	–
Shri V. K. Chanana	Part-time Non-official	7	1	6
Shri S. B. Kucheria	Part-time Non-official	2	1	1
Shri H. V. Paliwal**	Part-time Non-official	–	–	–

* Shri Hem Pande, Joint Secretary, Ministry of Mines has been appointed as director in place Dr.Sutanu Behuria w.e.f. 1.7.03.

** Ceased to be a director w.e.f. 5.7.02.

ANNEXURE – I TO THE DIRECTORS' REPORT (Contd.)

(b) Directors' Attendance

The attendance of directors at Board meetings during 2002-2003 and last Annual General Meeting is given below :

Name of Directors	No of Board meeting(s) attended out of 11 held	Attendance at the last Annual General Meeting
Shri B. K. Menon	11	Present
Shri S. K. Kar	11	Present
Shri Rana Som	11	Present
Smt. Adarsh Misra	5	–
Dr. Sutanu Behuria	8	–
Shri V. K. Chanana	6	–
Shri S. B. Kucheria	10	–
Shri H. V. Paliwal	1	–

During 2002-2003, eleven Board meetings were held on 22.4.2002, 19.6.2002, 24.6.2002, 30.6.2002, 23.8.2002, 19.9.2002, 11.11.2002, 18.12.2002, 29.1.2003, 26.2.2003, 24.3.2003 and majority of members of the Board remained present. Leave of absence was, however, granted to the Directors expressing their inability to attend the meeting.

(c) Board Procedure

The meetings of the Board are generally held in Delhi. The Board meets at least once in every quarter, focusing on strategy formulation, policy and control, delegation of powers and approving quarterly results, annual accounts, annual operating plan and budgets, reviewing performance of the Units and for considering statutorily required matters. The agenda for the meetings is prepared by the Company Secretary in consultation with CMD/Functional Directors and the Board papers are circulated to the Directors in advance. The members of the Board have access to all information and are free to recommend inclusion of any matter in the agenda for discussion. Senior Executives of the company are invited to attend the Board meetings and provide clarifications as and when required. The part-time Directors play an important role in deliberations at the Board Meeting and bring to the company their wide experience in the fields of finance, marketing, law, public policy and operations.

Company's 4(four) operating units at Khetri Copper Complex (KCC), Indian Copper Complex (ICC), Malanjkhand Copper Project (MCP) and Taloja Copper Project (TCP) are headed by Unit Heads who work under the overall supervision of Functional Directors and CMD.

(d) Directors' Remuneration

(i) Sitting Fees to Part-time Directors

The part-time official Directors representing the Ministry of Mines as well as the wholetime functional Directors are not entitled to sitting fees. The part-time non-official Directors are paid sitting fees @ Rs.800 for attending

ANNEXURE – I TO THE DIRECTORS' REPORT (Contd.)

every Board Meeting and @ Rs.400 for attending every Committee Meeting. The sitting fees paid to the part-time non-official Directors during the period from 1.4.2002 to 31.3.2003 was as follows :

Non-official Part-time Directors	For Board Meeting (Rs.)	For Committee Meeting (Rs.)
Mr. V. K. Chanana	4800	800
Mr. S. B. Kucheria	8000	1600
Mr. H. V. Paliwal	800	400

(ii) Remuneration paid to Wholetime Directors

The details of remuneration paid to the Wholetime Functional Directors during 2002-2003 was as follows :

Directors' Remuneration	(Rs. in lakhs)
Salaries and Allowance	7.59
Contribution to Provident Fund	0.91
Medical & Leave Encash	0.14
Gratuity	–
Total	8.64

2. Audit Committee

The Audit Committee of the Board as constituted by the Directors in their meeting held on 20.4.2001 was reconstituted during the year. The committee at present comprises 3 part-time Directors – Shri S.B.Kucheria as Chairman and S/Shri Hem Pande and V. K. Chanana as Members. CMD and D(F) attends the meeting as a special invitee and Company Secretary acts as convenor of the meeting. The terms of reference of the Audit Committee are as per Clause 49 of the Listing Agreement and provisions of the Companies Act, 1956. The constitution of Audit Committee also meets with the requirements of Section 292A of the Companies Act, 1956. During the year, 3 meetings of the Audit Committee were held on 16.5.2002, 23.8.2002 and 18.12.2002 and the attendance of the members in the meetings was as follows :

Name of Member	No. of Audit Committee meetings attended out of 3 held
Shri S. B. Kucheria	3
Dr. Sutanu Behuria	3
Shri V. K. Chanana	2
Shri H. V. Paliwal	1

3. Investors' Grievance Committee

Pursuant to Listing requirements, Shareholders'/Investors' Grievance Committee comprising Dr. S Behuria as Chairman and S/Shri S B Kucheria, V K Chanana and H V Paliwal as Members and Company Secretary as convenor, has been constituted by the Board in July 2001 to look into the redressal of Shareholders'

ANNEXURE – I TO THE DIRECTORS' REPORT (Contd.)

Investors' complaints pertaining to transfer of shares, non-receipt of balance sheet and issue of duplicate shares etc. Outstanding complaints as on 31.3.2003 was nil. During the year, only 1(one) meeting of the Shareholders'/ Investors' Grievance Committee were held on 23.8.2002 and the attendance of the members in the meeting was as follows :

Name of Member	No. of Shareholders'/ Investors' Grievance Committee meeting attended
Dr. Sutanu Behuria	1
Shri V. K. Chanana	–
Shri S. B. Kucheria	1
Shri H. V. Paliwal	–

4. Share Transfer Committee

A Sub-Committee of the Board comprising of all the Functional Directors of the Company known as Share/Bonds Transfer Committee is already in existence. During 2002-2003, the Committee met 12(twelve) times on 9.5.2002, 8.6.2002, 2.7.2002, 26.7.2002, 26.8.2002, 24.9.2002, 24.10.2002, 23.11.2002, 20.12.2002, 21.1.2003, 24.2.2003, 22.3.2003 and approved transfer/ transmission of shares, bonds and issue of duplicate certificates etc. Company Secretary has been nominated as Compliance Officer as per Listing Agreement clauses. As on 31.3.2003 there was no pending case of share/bond transfer.

5. General Body Meeting

Location and time of General Body Meeting held during the last 3 financial years were as under :

Year	Annual General Meeting			Extra Ordinary General Meeting		
	Date	Location	Time	Date	Location	Time
2000	24.03.2000	Kolkata	3.30 pm	–	–	–
	29.12.2000	Kolkata	3.30 pm	–	–	–
2001	28.12.2001	Kolkata	3.30 pm	7.6.2001	Kolkata	4.00 pm
2002	27.09.2002	Kolkata	3.30 pm	20.2.2002	Kolkata	4.30 pm

No special resolution was put through ballot last year.

6. Disclosures

During 2002-2003, Company has not entered into any transactions of material nature with the Directors that may have potential conflict with the interest of the Company at large. No penalties, strictures have been imposed on the Company by the Stock Exchanges or SEBI on any matters related to capital markets.

7. Means of Communication

The company communicates with its shareholders through its Annual Report, publication of financial results and by submission and filing of reports and returns with all statutory bodies. The unaudited working results were

ANNEXURE – I TO THE DIRECTORS' REPORT (Contd.)

published by the Company in Financial Express (English Newspaper) and Sambad Pratidin (Bengali Newspaper) during 2002-2003.

8. General Information

i) 36th Annual General meeting

Date	:	30.9.2003
Time	:	4.00 p.m.
Venue	:	Tamra Bhavan 1 Ashutosh Chowdhury Avenue Kolkata-700019

ii) Financial Year 2003-2004 (Tentative)

Results for quarter ending

30th June, 2003	:	4th week of July, 2003
30th Sept., 2003	:	4th week of October, 2003
31st Dec., 2003	:	4th week of January, 2004
31st March, 2004	:	4th week of April, 2004

iii) Book-closure date

: 25.9.2003 to 30.9.2003 (both days inclusive)

iv) Listing of Equity Shares on Stock Exchanges along with Stock Code

Kolkata	–	18067
Mumbai	–	13699
Delhi	–	6917
Chennai	–	Hindcopper
Ahmedabad	–	24709/HINDUSTACO

Annual Listing Fee for 2003-2004 has been paid to all the above stock exchanges.

v) Stock Market Price Data

: Monthly High and Low quotations of shares traded on The Stock Exchange, Mumbai(BSE) during the financial year 2002-03 :

Month	BSE	
	High (Rs.)	Low (Rs.)
April, 2002	55.00	38.15
May, 2002	50.00	35.00
June, 2002	78.50	41.21
July, 2002	61.00	40.50
August, 2002	41.86	32.90
September, 2002	36.90	25.36
October, 2002	36.00	29.50
November, 2002	33.00	33.00
December, 2002	37.80	26.06
January, 2003	33.86	26.25
February, 2003	43.21	30.00
March, 2003	31.00	28.06

ANNEXURE – I TO THE DIRECTORS' REPORT (Contd.)

vi) Dematerialisation of Shares

The Company's shares are tradable compulsorily in electronic form and are available for trading in the depository systems of both National Securities Depository Ltd.(NSDL) and Central Depository Services(India) Ltd.(CDSL). The International Securities Identification Number(ISIN) allotted to Company's equity shares is INE531E01018 w.e.f. 11.9.02. Status of dematerialisation as on 31.3.03 was as follows :

Particulars	No. of Shares	% of Holding	No. of Folio
DEMAT :			
a) N S D L	31,91,800	0.880	98
b) C D S L	–	–	–
PHYSICAL :			
a) Govt. of India	35,90,79,500	98.953	1
b) Others	6, 06,700	0.167	2195
TOTAL :	36,28,78,000	100.000	2294

vii) Shareholding pattern as on 31st March, 2003

Category	No. of shares held	%
1. President of India	35,90,79,500	98.953
2. Mutual Funds	9,70,500	00.267
3. Financial Institutions	21,94,900	00.605
4. Private Corporate Bodies	93,300	00.025
5. Indian Public including employees	5,39,800	00.149
TOTAL	36,28,78,000	100.00

viii) Distribution of shareholding as on 31st March, 2003

RANGE		SHARES	FOLIOS	% SHARES
1	500	396300	2215	0.1092
501	1000	30000	36	0.0083
1001	2000	26100	16	0.0072
2001	3000	15500	6	0.0043
3001	4000	13200	4	0.0036
4001	5000	–	–	–
5001	10000	18500	2	0.0051
10001	50000	82100	5	0.0226
50001	100000	52500	1	0.0145
100001	and above	362243800	9	99.8252
TOTAL		362878000	2294	100.000

ix) Share Transfer System

Share transfer requests received by the Company are processed and certificates despatched to the buyers within 30 days from the date of receipt as stipulated in Listing norms of Stock Exchanges.

x) Registrar & Share Transfer Agents

HCL is having a full-fledged share cell at its Corporate and Registered Office at Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata. However, company has appointed M/s.MCS Ltd., 77/2A Hazra Road, Kolkata-700 029 to take care of all share related matters in demat form and for maintaining all the records in computer.

xi) Plant Location :**Indian Copper Complex**

P.O. Ghatsila
Dist. Singhbhum
Jharkhand

Khetri Copper Complex

P.O. Khetrinagar
Dist. Jhunjhunu
Rajasthan

Malanjkhand Copper Project

P.O. Malanjkhand
Dist. Balaghat
Madhya Pradesh

Taloja Copper Project

P.O. Taloja
Dist. Raigad
Maharashtra

xii) Address for correspondence

Shareholders desiring the information may write to the Company Secretary, HCL Corporate Office at 1 Ashutosh Chowdhury Avenue, Kolkata-700019 or e-mail their query to hindcop@vsnl.com

NON-MANDATORY REQUIREMENTS

- (A) The Wholetime Directors of the company including the Chairman-cum-Managing Director are appointed by the Government of India and are being paid remuneration as per the terms of their appointment. The Company, therefore, has not constituted any Remuneration Committee to decide the policy for the Directors' remuneration.
- (B) The Chairman of the Board is a wholetime Functional Director of the Company. He has been provided only those facilities which are permissible under the terms and conditions of his appointment by the Govt. of India.
- (C) The quarterly declaration of financial performance including summary of significant events is made known to the shareholders through press advertisement.

COMPLIANCE CERTIFICATE ON CORPORATE GOVERNANCE

To the members of

Hindustan Copper Limited

Kolkata

We have examined the compliance of conditions of corporate governance by Hindustan Copper Limited, for the year ended on 31.03.2003, as stipulated in Clause 49 of the Listing Agreement of the said company with stock exchange(s).

The compliance of conditions of corporate governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the company.

In our opinion and to the best of our information and according to the explanations given to us, subject to the following :

1. Chairman of Audit Committee has not attended the last AGM.

We certify that the company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

We state that no investor grievance is pending for a period exceeding one month against the company as per the records maintained by the Shareholders'/Investors' Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

For and on behalf of

DINESH MEHTA & CO.

Chartered Accountants

Dinesh Mehta

Partner

M. C. BHANDARI & CO.

Chartered Accountants

M. R. Jain

Partner

Dated : July 23, 2003

Place : New Delhi

ADDENDUM TO THE REPORT OF THE BOARD OF DIRECTORS

Comments of Statutory Auditors (Ref. Statutory Auditors' Report dated 23rd August, 2003) and Explanations of the Company

Audit Observation No.	Comments on	Explanations of the Company
4(d)(i)	In preference to Accounting Standard No. 6 regarding depreciation on Fixed Assets for efflux of time.	This is as per Accounting Policy No. 4.1 and as explained in Note No. 7 of accounts.
4(d)(ii)	The machinery spares of the nature of capital spares/insurance spares have not been identified except in respect of two units.	The position in this regard has been explained in Note No. 21 of accounts.
5(ii)	Non-charging of Rs. 49666 thousand being the difference in rates of electricity duty applicable to mines and plants.	The position has been explained in Note No. 9 of accounts.
5(iii)	Non-provision of interest on overdue Payments to SSI Units.	This has been explained in Note No. 6 of accounts.
5(iv)	Non-provision of interest liability on arrear fuel surcharge.	This has been explained in Note No. 10 of accounts.
5(vii)	Adequacy or otherwise of the provisions made against the condemned fixed assets.	The position has been explained in Note No. 12 of accounts.

Place : Kolkata
Dated : 26th September, 2003

B. K. Menon
Chairman-cum-Managing Director

ADDENDUM TO THE REPORT OF THE BOARD OF DIRECTORS

Comments of Statutory Auditors (Ref. Statutory Auditors' Report dated 23rd July, 2003) and Explanations of the Company

Annexure to the Auditors' Report

Audit Observation No.	Comments on	Explanations of the Company
3.	Only a small portion of Stores & Spares are covered under physical verification.	As per the consistent policy the company follows perpetual inventory system covering high value items. Small value items are checked on rotational basis.
4.	Procedure of physical verification of stocks followed by management are reasonable and adequate except one unit.	Comments of the Auditors have been noted and shall be improved further.
5.	Discrepancies noticed on physical verification have been properly dealt with in the books of accounts. However, discrepancies have not been adjusted and continued to be shown in stock though necessary provision for the same has been made in the accounts.	As a continuous process steps are taken to investigate the discrepancies with a view to adjust the same in the books of accounts.
17.	Delay in depositing Provident Fund with appropriate authorities.	The delay is due to the difficult Cash flow and inspite of difficult cash flow position, the outstanding has come down from Rs. 179655 thousand at the end of previous year to Rs.161534 thousand during the end of current year.

Place : Kolkata
Dated : 26th September, 2003

B. K. Menon
Chairman-cum-Managing Director

Comments of the Comptroller & Auditor General of India under Section 619(4) of the Companies Act, 1956 on the Accounts of Hindustan Copper Limited, Kolkata for the year ended 31st March, 2003.

I have to state that the Comptroller & Auditor General of India has no comment upon or supplement to the Auditors' Report under Section 619(4) of the Companies Act, 1956 on the accounts of Hindustan Copper Limited, Kolkata for the year ended 31st March, 2003.

Place : Kolkata
Dated : 26th September, 2003

S. B. Pillay
*Principal Director of Commercial Audit
& Ex-Officio Member, Audit Board – I, Kolkata*

REVIEW OF ACCOUNTS OF HINDUSTAN COPPER LIMITED

for the year ended 31st March, 2003 by the Comptroller & Auditor General of India

(Review of Accounts has been prepared without taking into account the comments under Section 619(4) of the Companies Act, 1956 and the qualifications contained in Statutory Auditors' Report)

1. FINANCIAL POSITION

The Table below summarises the financial position of the Company under broad headings for the last three accounting periods :

	1999-2001 (18 months)	2001-02	(Rs. in crore) 2002-03
LIABILITIES			
a) Paid up Capital			
i) Government of India (including share deposit)	539.81	706.31	791.31
ii) Other	3.80	3.80	3.80
b) Reserve & Surplus			
i) Free Reserves & Surplus	0.45	0.41	0.37
ii) Capital Reserve	6.53	6.53	6.54
c) Borrowings from :			
i) Government of India	356.50	—	—
ii) Bonds	75.45	225.10	216.32
iii) Debentures	100.00	100.00	100.00
iv) Public Deposits	0.01	0.01	0.01
v) Working Capital Term Loan	145.00	—	—
vi) Bank Cash Credit	122.69	122.04	139.48
vii) Other loans	4.10	51.32	40.30
viii) Interest accrued and due	7.97	0.56	0.32
d) Current liabilities and Provisions	335.87	349.30	386.13
Total	<u>1698.18</u>	<u>1565.38</u>	<u>1684.58</u>
ASSETS			
e) Gross Block	706.01	697.79	692.60
f) Less : Cumulative Depreciation	440.93	456.00	462.76
g) Net Block	265.08	241.79	229.84
h) Capital work-in-progress	33.58	23.56	21.01
i) Mine Development Expenditure	321.18	303.42	293.49
j) Miscellaneous Expenditure (Not written off)	268.13	7.41	—
k) Investment	—	—	—
l) Current Assets, Loans and Advances	361.81	356.80	360.18
m) Accumulated losses.	448.40	632.40	780.106
Total	<u>1698.18</u>	<u>1565.38</u>	<u>1684.58</u>
n) Working Capital {l+d-c(viii)}	17.97	6.94	(-)26.27
o) Capital Employed (g+n)	283.05	248.73	203.57
p) Net worth {(a+b(i)-m-j)}	(-) 172.47	70.71	15.42
q) Net worth per rupee of paid up capital (in Rupees)	Negative	0.10	0.02

REVIEW OF ACCOUNTS OF HINDUSTAN COPPER LIMITED

for the year ended 31st March, 2003 by the Comptroller & Auditor General of India

(Review of Accounts has been prepared without taking into account the comments under Section 619(4) of the Companies Act, 1956 and the qualifications contained in Statutory Auditors' Report)

	1999-2001 (18 months)	2001-02	(Rs. in crore) 2002-03
2. WORKING RESULT			
i) Sales	945.58	604.98	506.31
ii) Less Excise Duty	137.33	77.92	71.27
iii) Net Sales	808.25	527.06	434.84
iv) Other Misc. Income	26.27	25.60	10.06
v) Profit/Loss before tax and prior period Adjustment	(-) 198.86	(-) 181.83	(-)146.38
vi) Prior period Adjustment	2.41	2.21	1.32
vii) Profit/Loss before tax	(-)196.45	(-)184.04	(-)147.70
viii) Tax Provision	NIL	NIL	NIL
ix) Profit after tax	(-)196.45	(-)184.04	(-)147.70

3. RATIO ANALYSIS

Some important financial ratios on the financial health and working of the Company at the end of last three accounting periods :

	1999-2001 (18 months)	2001-02	(In percentage) 2002-03
A. Liquidity Ratio			
Current Ratio	105	102	93
B. Debt Equity Ratio			
Long term Debt to Equity	Negative	460	2051

4. SOURCES AND UTILISATION OF FUNDS :

Funds amounting to Rs. 143.30 crore from internal and external sources were generated and utilized during the period as shown below :

Sources of funds :

a) Increase in Share Capital	85.00
b) Decrease in Working Capital	33.21
c) Decrease in Gross Block and Capital work-in-progress	7.74
d) Decrease in Mine Development Expenditure	9.93
e) Decrease in Miscellaneous Expenditure	7.41
f) Capital profit on sale of Fixed Assets	0.01
Total funds inflow during the year	143.30

Utilisation of funds :

a) Outflow from operations	
Net loss as per accounts	147.70
Less : Depreciation	6.76
(b) Decrease in borrowed fund	2.36
Total funds outflow during the year	143.30

REVIEW OF ACCOUNTS OF HINDUSTAN COPPER LIMITED

for the year ended 31st March, 2003 by the Comptroller & Auditor General of India (Contd.)

5. UNIT WISE WORKING RESULTS

The working results of the Company and its various units for the last three accounting periods are indicated below :

(Rs. in crore)

Unit	Profit (+)/ Loss (-) for the year.	Write back of provision made in the earlier years required	Prior period adjustments and extra ordinary items	Write back of development rebate reserve/provision for income tax	Profit (+)/ Loss (-) as per Accounts
(1)	(2)	(3)	(4)	(5)	(6)
Consolidated Position					
1999-2001 (18 months)	(-) 198.78	(+) 4.73	(-) 2.41	-	(-) 196.44
2001-02	(-) 203.95	(+) 17.70	(+) 2.21	-	(-) 184.04
2002-03	(-) 149.60	(+) 0.58	(+) 1.32	-	(-) 147.70
Indian Copper Complex					
1999-2001 (18 months)	(-) 96.93	(+) 0.66	(+) 25.25	-	(-) 71.02
2001-02	(-) 65.11	(+) 1.37	(+) 0.41	-	(-) 63.33
2002-03	(-) 72.32	(+) 0.04	(+) 0.59	-	(-) 71.69
Khetri Copper Complex					
1999-2001 (18 months)	(-) 123.11	(+) 0.53	(-) 0.01	-	(-) 122.59
2001-02	(-) 97.87	(+) 0.22	(+) 0.08	-	(-) 97.57
2002-03	(-) 86.74	(+) 0.38	(+) 0.08	-	(-) 86.28
Malanjkhand Copper Project					
1999-2001 (18 months)	(+) 67.15	(+) 1.64	(-) 30.79	-	(+) 38.00
2001-02	(-) 1.22	(+) 1.71	(+) 0.04	-	(+) 0.53
2002-03	(+) 17.50	(+) 0.01	(+) 0.07	-	(+) 17.58
Taloja Copper Project					
1999-2001 (18 months)	(-) 15.27	(+) 0.11	(+) 0.02	-	(-) 15.14
2001-02	(-) 13.93	(+) 0.01	(+) 1.67	-	(-) 12.25
2002-03	(-) 4.22	-	(+) 0.06	-	(-) 4.16
Rakha Copper Project					
1999-2001 (18 months)	(-) 25.62	-	(+) 3.08	-	(-) 22.54
2001-02	(-) 21.32	(+) 0.14	-	-	(-) 21.18
2002-03	(-) 2.23	(+) 0.02	(+) 0.48	-	(-) 1.73
Chandmari Copper Project					
1999-2001 (18 months)	(-) 2.87	(+) 0.11	-	-	(-) 2.76
2001-02	(-) 1.41	-	-	-	(-) 1.41
2002-03	-	-	-	-	-
Head Office					
1999-2001 (18 months)	(-) 1.82	(+) 1.67	-	-	(-) 0.15
2001-02	(-) 3.08	(+) 14.25	-	-	(+) 11.17
2002-03	(-) 1.28	(+) -	(+) 0.03	-	(-) 1.25
Bombay Office					
1999-2001 (18th)	(-) 0.06	-	(+) 0.03	-	(-) 0.03
2001-02	(-) 0.04	-	-	-	(-) 0.04
2002-03	(-) 0.16	(+) 0.14	-	-	(-) 0.02
Delhi Office					
1999-2001 (18 months)	(-) 0.18	(+) 0.01	(+) 0.01	-	(-) 0.16
2001-02	(-) 0.01	-	-	-	(-) 0.01
2002-03	(+) 0.06	-	(+) 0.01	-	(+) 0.07
Kolkata Office					
1999-2001 (18 months)	(-) 0.05	-	-	-	(-) 0.05
2001-02	(+) 0.03	-	-	-	(+) 0.03
2002-03	(-) 0.17	-	-	-	(-) 0.17
Indore Office					
1999-2001 (18 months)	-	-	-	-	-
2001-02	-	-	-	-	-
2002-03	(-) 0.04	-	-	-	(-) 0.04

6. INVENTORY LEVELS :

The inventory levels at the close of the last three accounting periods are given below :

	1999-01 (18 months)	2001-02	(In percentage) 2002-03
i) Raw materials	11.59	6.94	0.08
ii) Stores & spares parts and loose tools	54.26	47.47	42.37
iii) Work-in-process	132.54	121.82	101.61
iv) Finished Goods	60.36	24.59	29.83

7. SUNDRY DEBTORS :

The sundry debtors vis-a-vis sales during the last three-accounting periods are given below :

(Rs. in crore)

As on	Sundry Debtors		Total	Sales during the year	Percentage of total sundry debtors to sales
	Considered good	Considered doubtful			
31.03.2001	36.01	3.32	39.33	945.58	4%
31.03.2002	20.95	3.34	24.29	604.98	4%
30.09.2003	6.18	4.14	10.32	506.11	2%

S. B. Pillay

Principal Director of Commercial Audit
& Ex-Officio Member Audit Board – I, Kolkata

Place : Kolkata
Dated : September 26th, 2003

TEN YEARS AT A GLANCE

(Rs. in lakhs)

FOR THE YEAR	2002-03	2001-02	1999-01 (18 months)	1998-99	1997-98 (18 months)	1996-97	1995-96	1994-95	1993-94	1992-93
Turnover	50,568	60,498	94,558	47,949	120,348	98,024	111,802	93,295	67,238	68,467
Gross Profit/(Loss)	(8,999)	(12,592)	(10,625)	(11,276)	(1,725)	(7,677)	13,099	12,450	(1,762)	9,346
Depreciation and Amortisation	5,771	5,812	9,019	5,925	8,848	5,384	5,515	5,224	5,193	6,706
Net Profit/(Loss)	(14,770)	(18,404)	(19,644)	(17,201)	(10,573)	(13,062)	7,584	7,226	(6,955)	2,640
Value Added	14,737	15,309	33,591	16,724	28,946	21,937	41,359	42,216	25,161	33,661
Value of production	50,153	58,666	100,166	51,347	118,022	100,529	118,627	90,504	59,609	77,859
AT THE YEAR END										
Share Capital	79,511	71,011	54,361	53,661	52,511	33,820	33,820	33,020	30,520	30,420
Internal Resources	(31,039)	(16,945)	(49)	19,097	33,896	42,018	53,305	43,880	34,399	38,826
Long-term loans	29,182	29,182	64,332	37,236	11,527	17,456	17,456	16,656	16,656	16,656
Cash credit from banks	13,949	12,204	12,270	8,416	11,960	12,322	10,709	320	9,011	10,104
Capital expenditure gross	100,559	102,477	106,076	106,621	105,082	101,630	97,772	90,479	85,113	78,923
Working Capital	(2,595)	751	1,798	649	8,635	14,440	24,529	11,344	7,329	19,120
Capital employed	20,389	24,929	28,306	29,871	40,368	45,978	57,081	38,829	35,252	47,377
Manpower (No.)	7,865	9,502	12,043	15,271	18,234	19,884	20,108	20,513	21,520	23,958

AUDITORS' REPORT to the Members of Hindustan Copper Limited

1. We have audited the attached Balance Sheet of M/s. Hindustan Copper Limited as at 31st March, 2003 and the Profit & Loss Account of the company for the year ended that date annexed hereto. These financial statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. The audit has been conducted in accordance with generally accepted auditing standards applicable in India which requires the planning and performance of such audit which inter-alia includes examination, on a test basis of evidences supporting the amounts and disclosures in the financial statements including assessing the accounting the principles used and significant estimates adopted by the management as well as evaluation of the overall financial statement presentation to obtain reasonable assurance as to whether the financial statements are free of any material misstatements. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Manufacturing and Other Companies (Auditors' Report) Order, 1988, issued by the Company Law Board in terms of Section 227(4A) of the Companies Act, 1956 and on the basis of such checks as we considered appropriate, we enclose in the Annexure hereto a statement on the matters specified in paragraphs 4 and 5 of the said order.
4. Further to our comments in the Annexure referred to in Paragraph 3 hereinabove and subject to what is stated hereinbelow vide paragraph 5, we report that :
 - (a) we have obtained all the information and explanations, which, to the best of our knowledge and belief, were necessary for the purpose of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the company so far as it appears from our examination of such books.
 - (c) The Balance Sheet and the Profit & Loss Account are in Agreement with the books of accounts.
 - (d) In our opinion, the Profit & Loss Account and the Balance Sheet subject to what is stated hereinbelow comply with the Accounting Standards referred to in sub-section (3C) of Section 211 of the Companies Act, 1956.
 - (i) *Accounting Policy No. 4.1 has been followed in preference to Accounting Standard 6 (AS 6) Depreciation Accounting, issued by the Institute of Chartered Accountants of India, regarding depreciation on fixed assets for efflux of time. Further, depreciation charges on Pollution Control Project (Refer Note No. 7 of Schedule 25) is also not in accordance with aforesaid Accounting Standard.*
 - (ii) *The machinery spares of the nature of capital spares/insurance spares have not been identified except in respect of TCP and KCC. In respect of these units also, where such identification has been made*

based on technical assessment, depreciation has been provided on the basis of remaining life of the fixed assets. The non-identification and accounting of such spares in remaining units and charging of depreciation on such spares in aforesaid units are not in accordance with the Accounting Standard issued by the ICAI.

- (e) On the basis of written representations received from the Directors and taken on record by the Board of Directors, we report that none of the Directors are disqualified from being appointed as director in terms of Section 274(1)(g) of the Companies Act, 1956.

5. Further to our comments/qualifications in paragraphs 3 and 4 supra we report that

- (i) *The financial statements have been drawn up on the basis of in-house estimates referred to in paragraph 3 of Accounting Policies, being a technical matter, we have relied upon the same.*
- (ii) *Based on legal opinion and stay granted by the Hon'ble Supreme Court of India the Company has not charged Rs. 49,666 thousand being the difference of rates of Electricity Duty applicable to mines and plant. Since the issue remaining unresolved with the Hon'ble Supreme Court till the finalisation of this report we are unable to form an opinion on the veracity of the stand taken by the management (Refer Note No. 9 of Schedule No. 25 Notes on Accounts).*
- (iii) *Non provision of interest on overdue payments to SSI Units, amount of which is unascertainable (Refer Note No. 6 of Schedule No. 25 Notes on Accounts).*
- (iv) *Non provision of interest liability on arrear fuel surcharge amount of which is unascertainable (Refer Note No. 10 of Schedule No. 25 Notes on Accounts).*
- (v) *There are large sums included under current liabilities, advances, deposits, sundry debtors, claims recoverable, materials in transit and stocks lying with third parties which are subject to reconciliation and balance confirmation. Further, certain other liabilities pertaining to statutory dues have been included under contingent liabilities and not admitted in the accounts. The effect of adjustments/admittance of such liabilities and assets on the loss of the company for the year, if any, is unascertainable (Ref. Note No. 5 of Schedule No. 25 on Notes to Accounts).*
- (vi) *The company has incurred a net loss of Rs. 14,76,990 thousand during the year ended 31st March, 2003 and as of that date its total current liabilities (Rs. 52,56,182 thousand) exceeds its total current assets (Rs. 3616951 thousand) by Rs. 1639231 thousand and presence of other matters like adverse key financial ratios, inability to liquidate short and long term liabilities on due dates are some of the factors affecting the going concern concept adopted by the company. However, with the company having closed/ being in the process of closing economically unviable units, sanctioning of 2nd Financial Restructuring Plan by Government of India for*

AUDITORS' REPORT to the Members of Hindustan Copper Limited *(Contd.)*

improving the operational/financial health of the company and subject to continuance of financial & administrative support by the Government of India the company may continue to be a going concern in the foreseeable future.

(vii) Adequacy or otherwise of the provision made against the condemned fixed assets could not be ascertained as the net realisable value of these assets are yet to be ascertained (Refer Note No. 12 of Schedule 25 on Notes to Accounts).

(viii) Since the sales are net of discount/rebates that are being allowed, and not the aggregate amount for which it has been effected, the turnover shown in the accounts and matching expenditure have been understated. The figures not ascertained but may not have impact on the loss of the company.

Subject to what is stated in paragraph 4(d) (i) and 4(d)(ii) and paragraph 5(i) to 5(viii) supra, in our opinion and to the best of our information and according to the information and explanations given to us, the said accounts, read with notes thereon, give a true and fair view.

(i) In the case of the Balance Sheet of the state of affairs of the company as at 31st March, 2003 and

(ii) In the case of the Profit & Loss Account of the loss of the company for the year ended on that date.

For DINESH MEHTA & CO.
Chartered Accountants

Dinesh Mehta
Partner

For M. C. BHANDARI & CO.
Chartered Accountants

M. R. Jain
Partner

Dated : July 23, 2003
Place : New Delhi

ANNEXURE TO THE AUDITORS' REPORT

(Referred to in paragraph 3 of our report of even date)

1. The company has in general maintained proper records showing full particulars including quantitative details and location of fixed assets. These fixed assets have not been physically verified during the current year pursuant to Accounting Policy No. 4.3. Material discrepancies, if any, between the book records and physical availability of such assets cannot be ascertained in the absence of physical verification.
2. The Fixed assets have not been revalued during the year.
3. Physical verification has been conducted by the management during the period in respect of raw material, finished goods and work-in-progress on the basis of actual/survey measurements and in some cases on the basis of estimation at reasonable intervals. However, only a portion of stores and spares items is not covered under physical verification. Further, the internal verification system so implemented by the management needs to be strengthened and their scope widened.
4. *In our opinion and according to the information and explanations made available to us the procedure of physical verification of stocks followed by the management are reasonable and adequate in relation to the size of the company and the nature of its business, except at Indian Copper Complex, Ghatsila.*
5. *Discrepancies noticed on physical verification of stocks as compared to book records have been properly dealt with in the books of account. It has also been observed that in certain cases, discrepancies detected in earlier years have not been adjusted and continues to be shown in stock though necessary provision for the same has been incorporated in the accounts.*
6. The valuation of stocks is fair and proper and is in accordance with the normally accepted accounting principles except to the extent referred to in Accounting Policy No. 7.6. However, for the purpose of valuation of Work-in-Process, technical estimates as to the percentage of metal content derived by the management have been relied on.
7. The company has not granted any loans to companies, firms or other parties listed under the register maintained under Section 301 of the Companies Act, 1956.
8. The Company has not taken any loans from companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956.
9. Loans and Advances in the nature of loans have been given to employees and other parties who are generally repaying the principal amount as per stipulation. Interest and instalments on loan given to employees are realized as per terms of the service.
10. In our opinion and according to the explanations made available to us by the management the internal control procedures with regard to purchase of stores, raw materials including high value contracts, capital items, transportation contracts and sales of goods needs to be improved further.
11. According to the information and explanations made available to us and as certified by the management the company has not entered into any purchase of goods and materials or any sales of goods, materials or services exceeding Rs. 50,000/- (Rupees Fifty thousand) in value in respect of any party in pursuance of contracts or arrangements entered in the register to be maintained under Section 301 of the Companies Act, 1956.

ANNEXURE TO THE AUDITORS' REPORT *(Contd.)*

12. As explained to us and according to the information made available to us the company has a regular procedure for determination of unserviceable and damaged stores, raw materials and finished goods however the same needs to be strengthened.
13. In our opinion and according to the information and explanations made available to us by the management the company had maintained deposits within the prescribed limits specified under Rule 3(2)(ii) of the Companies (Acceptance of Deposit) Rules, 1975 framed under the provisions of Section 58A of the Companies Act, 1956 and the directions issued by the Reserve Bank of India. However, the company has defaulted in making the repayments (Ref. Note No. 22 of Schedule No. 25 Notes on Accounts).
14. The Company does not maintain records for generation of scrap. However, proper records have been maintained for by-products and scrap sold during the year.
15. The Company has a system of Internal Audit by external agencies, which needs to be strengthened with regard to timely completion of such exercise in the units to make the same more meaningful. Further the functions of the Internal Audit department need to be reviewed and strengthened.
16. We have broadly reviewed the cost records maintained by the company for the items prescribed by the Central Government under clause (d) of sub-section (1) of Section 209 of the Companies Act, 1956 and are of the opinion that prima facie the prescribed records and accounts have been maintained. However, we have not made a detailed examination of such accounts and records.
17. The Company was not regular in depositing Provident Fund Dues and interest thereon with appropriate authorities. Arrears on account of provident fund dues and interest thereon aggregated to Rs. 1,61,534 thousand as on the date of the Balance Sheet.
18. To the best of our knowledge and information made available to us by the management there were no undisputed amounts payable in respect of Sales Tax, Income Tax, Customs Duty and Excise Duty which are outstanding as on 31st March, 2003 for a period exceeding six months from the date they became payable.
19. According to the information and explanations made available to us and on examination of the books of accounts carried out in accordance with the generally accepted auditing practices, we have not come across any personal expenses which have been charged to the Profit & Loss Account except those arising out of contractual obligations and in accordance with generally accepted business practices.
20. The Company is not a Sick Industrial Undertaking within the meaning of clause (O) of sub-section (1) of Section 3 of the Sick Industrial Companies (Special Provisions) Act, 1985.
21. According to the information and explanations made available to us the company has not undertaken any service activities in the current year, consequently, this clause is not applicable in the current year.

For DINESH MEHTA & CO.
Chartered Accountants

Dinesh Mehta
Partner

For M. C. BHANDARI & CO.
Chartered Accountants

M. R. Jain
Partner

Dated : July 23, 2003
Place : New Delhi

ACCOUNTING POLICIES

1. The Financial Accounts are prepared in all material aspects as per accounting conventions, practices and standards prescribed in India except otherwise stated.
2. The accounts of all units of the Company are drawn up separately and compiled at corporate level.
3. Financial statements have been prepared based on in-house technical estimates in respect of the following :-
 - Allocation of service shaft expenses, underground mining expenditure between revenue and capital.
 - Metal content in raw materials, WIP and finished goods.
 - Credit of anode scrap generation in refinery plant.
 - Mineable ore reserves in underground mines.
 - Stripping ratio in open cast mines.

BALANCE SHEET :

4. Fixed Assets :

- 4.1 Fixed assets are recorded at cost. Depreciation on fixed assets is provided on straight line method at the rates prescribed in Schedule XIV to the Companies Act, 1956. Depreciation on assets acquired prior to 1.04.93 is charged on derived rates by allocating the unamortised value over the remaining life arrived at on the basis of rates prescribed under the Schedule XIV to the Companies Act, 1956.
- 4.2 Depreciation in respect of plant & machinery and building of new project, is charged from the date of commercial production.
- 4.3 Physical verification of fixed assets is carried out once in every five years.
- 4.4 Fixed assets acquired out of funds provided by Government by way of grants-in-aid are recorded in the books at cost and kept in special reserve which is apportioned over the life of the assets by transfer to profit and loss account.
- 4.5 Pending reconciliation/receipt of the final bills against capital items, capitalisation is done on the basis of cost booked and depreciation is charged accordingly. Price differences, if any, are adjusted in the year of finalisation of bills.
- 4.6 In respect of expenditure during construction of a new unit in a new location, all direct capital expenditure as well as all indirect expenditure incidental to construction are capitalised allocating to various items of fixed assets on an appropriate basis. Expansion programme concurrently run with normal production activities in an existing unit, all direct capital expenditure in relation to such expansion are capitalised but indirect expenditure are charged to revenue.
- 4.7 Interest/finance cost on loans specifically borrowed for new and expansion projects up to the start of commercial production is charged to the capital cost of the projects concerned.
- 4.8 Project expenses incurred for implementation of new projects are carried forward against respective project till execution. Project expenses rendered infructuous or abandoned are charged to the Profit & Loss Account.

5. Mine Development Expenditure :

- 5.1** In case of underground mines the expenditure on development of a new mine in all cases and on subsequent development of a working mine in specified cases is capitalised and amortised on the basis of ore raised during the year and the mineable ore reserves estimated from time to time. The ore obtained during development activity is adjusted against such expenditure at its derived realisable value.
- 5.2** Expenses are apportioned to various mines/levels and treated as capital or revenue mine development expenditure on the basis of in house technical estimates.
- 5.3** In respect of opencast mines, the expenditure on removal of waste and overburden, is capitalised and the same is amortised in relation to actual ore production during the year and the stripping ratio of the mine as determined by the company at the weighted average rate.
- 5.4** Expenditure incurred on exploration of new deposits is included in mine development expenditure. If the exploration activities are found to be not fruitful, the expenditure on such exploratory work included in mine development expenditure is written off in the year in which it is decided to abandon the project.

6. Major Overhauling Expenses :

The expenditure attributable to major overhaul of smelter/refinery is treated as deferred revenue expenditure and is written off equally over a period of three years.

7. Inventories :

- 7.1** Inventories are valued on the basis of materials physically available at the end of the year. Discrepancies on account of excess or shortage if any on physical verification are netted off and accounted for accordingly.
- 7.2** Stocks of raw materials, stores and spare parts are valued at weighted average cost while loose tools, materials- in-transit are valued at cost. Loose tools, when issued are charged off to revenue.
- 7.3** Finished goods and work-in-process are valued at the lower of the year-end net realisable value and weighted average cost to the unit. The cost is exclusive of financing cost items such as interest, bank charges etc. The value of slag under work-in-process is taken at equivalent value to the extent credited to the process, where the said products have generated. The reverts under work-in-process are valued at lower of cost (equivalent value of concentrates) and net realisable value. Subsidy on fertilizers is not considered for the purpose of fertilizer stock valuation.
- 7.4** Liability for excise duty on finished goods in stock or held in bonded warehouse is provided for in the accounts and also considered in stock valuation. The other stocks are valued net of excise duty where CENVAT is applicable.
- 7.5** The stock of anode slime, rich copper and copper dust arising from treatment and refining processes and intended for sale are valued at realisable value based on the indigenous market price making due adjustments of their physical recovery and the treatment and refining charges.

ACCOUNTING POLICIES (Contd.)

- 7.6** The inventories out of inter-unit transfers at the close of the year are valued on the basis of cost or net realisable value whichever is lower to the transferor unit. No adjustment is made in respect of difference between the cost and transfer price for such transferred products in case of partly processed materials lying at various stages of production and finished stocks at the end of the year, since this is not practically ascertainable excepting at TCP Unit.
- 7.7** Scrap stocks are accounted for on realisation/recycling.
- 7.8** Imported materials are valued at weighted average cost at a provisional price pending finalisation of invoice price and customs duty. Variations are accounted for in the year of finalisation.
- 7.9** Once in every three years provision is made in the accounts for non-moving stores and spares (other than insurance spares) which have not moved for more than five years.

PROFIT AND LOSS ACCOUNT :

8. Sales :

Sales are net of discounts/rebates being allowed from time to time.

9. Claims :

Claims on account of liquidated damages and insurance are accounted for as and when these are deducted and/or considered recoverable by the company.

10. Conversion Charges :

Income from conversion of job work is accounted for on the basis of despatches made.

11. Interest on L/C Bills :

Interest upto the date of Balance Sheet on all outstanding bills is accounted for on accrual basis.

12. Gratuity and Leave Encashment on Retirement :

Gratuity and leave encashment liability on retirement are provided based on actuarial valuation.

13. Bonus/Ex-gratia :

Bonus/Ex-gratia is provided for in the accounts of the respective units on estimated basis.

14. Deficit in Provident Fund :

Deficit, if any, on account of Provident Fund Trust is accounted for on the basis of accrued liability, as ascertainable on the basis of last accounts closed by the Provident Fund Trust.

15. General :

15.1 Foreign exchange transactions :

- 15.1.1** Transactions denominated in foreign currencies are normally recorded at the exchange rate prevailing at the time of the transaction.

15.1.2 Monetary items denominated in foreign currencies at the year-end and not covered by forward exchange contracts are translated at year-end rates and those covered by forward exchange contracts are translated at the rate ruling at the date of transaction as increased or decreased by the proportionate difference between the forward rate and exchange rate on the date of transaction, such difference having been recognised over the life of the contract.

15.1.3 Non-monetary foreign currency items are carried at cost.

15.1.4 Any income or expense on account of exchange difference either on settlement or on translation is recognised in the profit or loss account except in cases where they relate to the acquisition of fixed assets in which case they are adjusted to the carrying cost of such assets.

15.2 Prior year's debits and credits :

Prior year's debits and credits are accounted for as per Accounting Standard – 5 (AS-5) issued by The Institute of Chartered Accountants of India.

15.3 Research and Development Expenditure :

Expenditure on research and development is charged off to Profit and Loss Account in the year it is incurred. Expenditure on fixed assets in this regard is capitalised.

15.4 Voluntary Retirement Expenses :

15.4.1 Paid out of own fund :

In respect of Voluntary Retirement expenditure incurred by the company out of own funds is charged off to revenue over a period of 60 months.

15.4.2 Paid out of Government Grant :

Voluntary Retirement Expenditure is charged to the Profit & Loss Account on receipt of Grants from the Government of India with corresponding credits to the Profit & Loss Account.

15.4.3 Paid out of Government Loan Fund :

Voluntary Retirement Expenditure incurred out of Government loan specifically provided for the same is treated as Deferred Revenue expenditure and is charged to revenue in consonance with the terms of sanction of such loan.

BALANCE SHEET

as on March 31, 2003

			(Rs. '000)
	Schedule No.	As at 31.03.2003	As at 31.03.2002
SOURCES OF FUNDS			
Shareholders' Funds			
Share Capital	1	5,436,104	5,436,104
Share Money Awaiting Allotment		2,515,000	1,665,000
Reserves & Surplus	2	69,169	69,424
		8,020,273	7,170,528
Loan Funds			
Secured Loans	3	4,313,070	4,138,633
Unsecured Loans	4	651,222	851,701
		4,964,292	4,990,334
TOTAL		12,984,565	12,160,862
APPLICATION OF FUNDS			
Fixed Assets			
Gross Block		6,926,023	6,977,883
Less : Depreciation		4,627,584	4,560,033
Net Block	5	2,298,439	2,417,850
Discarded Fixed Assets net of provision	5	15,152	—
Capital Work-in-Progress	6	194,711	210,165
Mine Development Expenditure	7	2,934,852	3,034,182
Advance for Capital Expenditure	8	270	25,420
		5,443,424	5,687,617
Investments	9	22	22
Current Assets, Loans and Advances			
Inventories	10	1,739,051	2,008,192
Sundry Debtors	11	61,824	209,496
Cash and Bank Balances	12	1,288,219	793,485
Other Current Assets	13	20,361	25,334
Loans and Advances	14	492,343	531,533
		3,601,798	3,568,040
Less : Current Liabilities and Provisions	15	3,861,311	3,492,973
Net Current Assets		(259,513)	75,067
Miscellaneous Expenditure	16	—	74,154
Profit and Loss Account		7,800,632	6,324,002
TOTAL		12,984,565	12,160,862
Notes to Accounts	25		

Accounting Policies and Schedules 1 to 25 attached form part of the accounts.

In Terms of our Report of Even Date

For DINESH MEHTA & CO.
Chartered Accountants

Dinesh Mehta
Partner

For M. C. BHANDARI & CO.
Chartered Accountants

M. R. Jain
Partner

For and on behalf of the Board of Directors
B. K. Menon Chairman-cum-
Managing Director
S. K. Kar Director (Finance)
C. S. Singhi Company Secretary

Dated : July 23, 2003
Place : New Delhi

PROFIT & LOSS ACCOUNT

for the year ended March 31, 2003

			(Rs. '000)
	Schedule No.	2002-03	2001-02
INCOME			
Sales		5,056,761	6,049,839
Internal Issues		4,349	5,743
Other Income	17	100,592	256,048
Grant-in-Aid		1,283,336	4,156,599
Increase/(Decrease) in Stock of Finished Goods, Semi-Finished and in Process	18	(146,407)	(444,981)
		<u>6,298,631</u>	<u>10,023,248</u>
EXPENDITURE			
Materials, Spares & Components	19	1,221,168	1,610,530
Employees' Remuneration & Benefits	20	1,147,525	1,304,930
Other Expenses of Manufacturing			
Administration, Selling & Distribution	21	2,079,536	2,363,809
Excise duty		712,651	779,250
Prior years' Net Debits/(Credits)	22	13,189	22,100
Interest	23	595,698	674,325
Provisions, Losses & Write off	24	96,807	298,132
VRS Expenses – Own Fund		48,656	72,738
– Grant		1,283,336	4,156,599
Depreciation		179,988	193,659
Amortisation of Mine Development Expenditure		397,067	387,566
		<u>7,775,621</u>	<u>11,863,638</u>
PROFIT/(LOSS) FOR THE YEAR		(1,476,990)	(1,840,390)
Profit/(Loss) Brought Forward from last year's Accounts		(6,324,002)	(4,483,975)
Transfer from Special Reserve		360	363
Amount Available for Appropriations		<u>(7,800,632)</u>	<u>(6,324,002)</u>
Balance of profit/(loss) carried to Balance Sheet		<u>(7,800,632)</u>	<u>(6,324,002)</u>
Earning per Share (Rs.)		(-) 4.07	(-) 5.07
Notes to Accounts	25		

Accounting Policies and Schedules 1 to 25 attached form part of the accounts.

In Terms of our Report of Even Date

For DINESH MEHTA & CO.
Chartered Accountants

Dinesh Mehta
Partner

For M. C. BHANDARI & CO.
Chartered Accountants

M. R. Jain
Partner

For and on behalf of the Board of Directors

B. K. Menon Chairman-cum-
Managing Director
S. K. Kar Director (Finance)
C. S. Singhi Company Secretary

Dated : July 23, 2003
Place : New Delhi

Dated : July 23, 2003

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)	
		As at 31.03.2003	As at 31.03.2002
1. SHARE CAPITAL			
Authorised			
60,00,00,000	Equity Shares of Rs. 10/- each	6,000,000	6,000,000
20,00,000	7.5% Non-Cumulative Preference Shares of Rs. 1000/- each	2,000,000	2,000,000
Issued, Subscribed & paid up			
34,51,33,700	Equity Shares of Rs. 10/- each fully paid up in cash	3,451,337	3,451,337
1,02,44,300	Equity Shares of Rs. 10/- each issued pursuant to a contract without payment being received in cash	102,443	102,443
75,00,000	Equity Shares of Rs. 10/- each pursuant to Indian Copper Corporation (Acquisition of Undertaking) Act, 1972 without payment being received in cash	75,000	75,000
		3,628,780	3,628,780
18,07,324	7.5% Non-Cumulative Preference Shares of Rs. 1000/- each	1,807,324	1,807,324
		5,436,104	5,436,104
Equity Share Money Awaiting Allotment —			
As per last Balance Sheet		1,665,000	—
Received during the year		850,000	950,000
Add : Conversion of GOI Plan Loan during the year		—	715,000
		2,515,000	1,665,000
2. RESERVES AND SURPLUS			
Capital Reserve :			
As per last Balance Sheet		65,312	65,312
Addition during the year		105	—
		65,417	65,312
Special Reserve :			
As per last Balance Sheet		4,112	4,475
Less : Transferred to Profit & Loss Account		360	363
		3,752	4,112
		69,169	69,424

SCHEDULE TO ACCOUNTS

as on March 31, 2003

	(Rs. '000)	
	As at 31.03.2003	As at 31.03.2002
3. SECURED LOANS		
i) Debentures		
10,000 14% Secured Redeemable Non-convertible Debenture of Rs. 1,00,000 each to be redeemed in 16 quarterly instalments commencing from December 15, 2003 and ending on September 15, 2007.	1,000,000	1,000,000
Secured by mortgage of flats at Mumbai and by first charge on whole of the assets (movable and and immovable at Khetri Copper Complex, Khetri, Malanjkhanda Copper Project, Malanjkhanda and Taloja Copper Project, Taloja both present and future (save and except Book Debts and Other Current Assets) and counter guaranteed by GOI.		
ii) Loans & Advances from Banks		
Cash Credit from Banks	1,394,870	1,220,433
Secured by Hypothecation of Stock-in-Trade, Stores and Spare parts, and Book Debts etc. of both present and future of the Company.		
iii) Other Loans & Advances		
a) 10.65% Sec. Red. Non-Conv. Bonds of Rs.10000000/- each. (Note 1) Secured by mortgage of a flat at Mumbai. Further secured by Govt. of India guarantee <i>pari passu</i> charge on the assets of Khetri, Malanjkhanda and Taloja pending execution thereof.	1,500,000	1,500,000
b) 14.75% 7 year Redeemable Bonds of Rs. 100000/- each (Note 2)	122,700	122,700
c) 15% 5 year Redeemable Bonds of Rs. 100000/- each (Note 3) Secured by first Charge on Specific Assets at Indian Copper Complex, Ghatsila and Head Office Building, Kolkata, through Deposit of Title Deed with the Trustees of the Bondholders.	295,500	295,500
	418,200	418,200
	<u>4,313,070</u>	<u>4,138,633</u>

Note 1 : 10.65% Secured Redeemable, Non-Convertible Bonds of Rs. 10000000/- each aggregating to Rs. 1500000 thousand are redeemable at par in two tranches of Rs. 750000 thousand each on April 1, 2006 and July 1, 2006 respectively.

Note 2 : 14.75% 7 year Redeemable Bonds of Rs. 100000/- each aggregating to Rs. 122, 700 thousand are redeemable at par in three annual instalments of 30%, 30% and 40% commencing from 31st May, 2003. However, the first instalment of 30% which was due on May 31st, 2003 has not been redeemed.

Note 3 : 15% 5 year Redeemable Bonds of Rs. 100000/- each aggregating to Rs. 295,500 thousand are redeemable at par on 30th June, 2003. However, the same could not be redeemed on due date.

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	As at 31.03.2003	As at 31.03.2002
4. UNSECURED LOANS		
i. Fixed Deposits		
Unclaimed Public Deposits	41	41
Add : Interest Accrued & Due	13	13
	54	54
ii. Short Term Loans & Advances		
14% Privately Placed Bonds (Note 1)*	245,000	332,800
Add : Interest Accrued & Due	3,191	5,614
	248,191	338,414
Loans & Advances from Banks*	402,977	495,858
Deferred Credit Purchase*	—	17,375
	651,168	851,647
iii. From Government of India		
a) Plan Loan		
As per last Balance Sheet	—	565,000
Addition during the year	—	150,000
	—	715,000
Less : Conversion of GOI Plan Loan to Share Money Awaiting Allotment	—	715,000
	—	—
b) Non-Plan Loan		
As per last Balance Sheet	—	3,000,000
Addition during the year	—	1,400,000
	—	4,400,000
Less : Transfer to Grant-in-Aid	—	4,400,000
	—	—
	651,222	851,701

*Amount falling due within next twelve months Rs. 647,977 thousand (Previous year Rs. 846,033 thousand)

Note 1 : Out of the total 14% Unsecured Privately Placed Bonds of Rs. 633,300 thousand, the Company has already redeemed Rs. 388,300 thousand leaving a balance of Rs. 245,000 thousand even though the Bonds are overdue for payment.

SCHEDULE TO ACCOUNTS

as on March 31, 2003

(Rs. '000)

5. Fixed Assets

DESCRIPTION	GROSS BLOCK				DEPRECIATION				NET BLOCK			
	As at* 01.04.2002 Rs.	Additions Rs.	Deduction Rs.	Adjustment Rs.	As at 31.03.2003 Rs.	Up to 01.04.2002 Rs.	For the year Rs.	Deduction Rs.	Adjustment Rs.	Up to 31.03.2003 Rs.	As at 31.03.2003 Rs.	As at 31.03.2002 Rs.
Land :												
Free hold	12765	—	—	—	12765	—	—	—	—	—	12765	12765
Lease hold	14590	—	—	—	14590	4448	202	—	—	4650	9940	10142
Roads, Bridges and Culverts	62072	—	1533	—	60539	17495	1055	372	254	18432	42107	44577
Railway Siding	10075	—	—	—	10075	8520	108	—	—	8628	1447	1555
Buildings including Sanitary and Water Supply System**	1148732	28790	—	—	1177522	472144	22278	—	(-)241	494181	683341	676588
Plant, Machinery and Mining Equipment	4838615	76723	139073	1727	4777992	3481274	152772	122419	(-)517	3511110	1266882	1357341
Electrical Equipment and Installation	321228	496	3946	(-)2067	315711	189358	11446	2829	82	198057	117654	131870
Shafts and Inclines	375201	—	3936	—	371265	242785	10557	3740	1	249603	121662	132416
Vehicles	97469	—	9431	588	88626	80243	4591	8819	463	76478	12148	17226
Furniture, Fixtures, Office, Hospital, Survey and Drawing Equipment	97136	309	259	(-)248	96938	63766	3061	223	(-)159	66445	30493	33370
Total	6977883	106318	158178	—	6926023	4560033	206070#	138402	(-)117	4627584	2298439	2417850
Previous Year	7060087	7720	62298	(-)27626	6977883	4409255	219316	54181	(-)14357	4560033	2417850	2650832
Details of Discarded Assets												
Discarded Assets	218461	156296	62	—	374695	168114	136637	55	—	304696	69999	50347
Less Provision ##											54847	50347
Discarded Assets net of provision											15152	—

Refer gain P & L account, Schedule Nos. 7 and 22.

Provision written back during the year Rs. 61 thousand has been included in Schedule No. 17.

* After reclassification

** Includes Rs. 88,495 thousand (previous year Rs. 88,495 thousand) on lease hold land.

Fixed Assets include items of Rs.6,934 thousand (previous year Rs. 9,384 thousand) held in stores and on these items no depreciation has been charged as per past practice which comes to Rs. 3,157 thousand.

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	As at 31.03.2003	As at 31.03.2002
6. CAPITAL WORK-IN-PROGRESS		
Plant and Machinery (Including in transit Rs.NIL thousand – previous year Rs. NIL thousand)	367,284	370,937
Others	310,405	311,097
	677,689	682,034
Less : Provisions	482,978	471,869
	194,711	210,165
7. MINE DEVELOPMENT EXPENDITURE		
As per last Balance Sheet	3,434,586	3,490,532
Add : Expenditure during the year as per Schedule 7.01	349,153	334,210
	3,783,739	3,824,742
Less :		
Value of ore recovered during mine development	3,807	2,590
Amortisation	397,067	387,566
	400,874	390,156
	3,382,865	3,434,586
Less : Provisions	448,013	400,404
	2,934,852	3,034,182
7.1 MINE DEVELOPMENT EXPENDITURE		
Salaries, Wages & Allowances	90,386	80,916
Contribution to Provident & Other Funds	8,671	7,975
Workmen & Staff Welfare	3,286	3,283
Gratuity	249	105
Stores, Spares & Tools Consumed	156,459	155,540
Power, Fuel & Water	42,064	41,170
Repairs :		
– Building	601	385
– Plant & Machinery	3,773	3,634
– Others	2,461	2,501
Insurance	376	527
Royalty	245	181
Prospecting, Survey, Drilling, Sampling & Analysis	7,647	6,076
Depreciation	26,034	25,657
Miscellaneous	6,901	6,260
	349,153	334,210

SCHEDULE TO ACCOUNTS

as on March 31, 2003

	As at 31.03.2003	(Rs. '000) As at 31.03.2002
8. ADVANCE FOR CAPITAL EXPENDITURE		
Unsecured – Considered Good	270	25,420
Considered Doubtful	2	218
	<u>272</u>	<u>25,638</u>
Less : Provision	2	218
	<u>270</u>	<u>25,420</u>
9. INVESTMENTS (at cost)		
Non-trade Investments in Debentures : (Unquoted)		
– 17 Nos. 5% Debentures of Rs. 1000/- each fully paid up in Woodlands Hospital & Medical Research Centre Ltd.	17	17
– 12 Nos. 8% Debentures of Rs. 100/- each fully paid up and 2 Nos. Fractional Certificate of Rs. 25/- each in 8% Debentures fully paid up in Indian Chamber of Commerce and Industry.	1	1
– 4 Nos. 6% Non-Redeemable Registered Debentures (1962) of Rs. 1000/- each Fully Paid up in Bengal Chamber of Commerce and Industry.	4	4
	<u>22</u>	<u>22</u>
Aggregate Book Value – Unquoted	22	22
10. INVENTORIES		
(As Taken, Valued and Certified by the Management)		
Raw Materials [at cost] (in transit Nil – Previous year Rs. 14,396 thousand)	841	69,366
Semi-Finished and In-Process [at lower of cost or net realisable value]	1,061,270	1,261,448
Less : Provision	<u>45,131</u>	<u>43,277</u>
	1,016,139	1,218,171
Finished Goods [at lower of cost or net realisable value] (In-transit Rs. 29,789 thousand – Prev. Yr. Rs. 49,849 thousand)	318,302	265,891
Less : Provision made	<u>19,974</u>	<u>19,974</u>
	298,328	245,917
Stores & Spares [at cost] (in transit Rs. 18,745 thousand – Previous year Rs. 25,416 thousand)	800,977	848,969
Less : Provision for obsolescence/Non-moving & Verification Discrepancies (net)	378,121	377,982
Less : Provision for Stores & Spares of irregular use	<u>1,759</u>	<u>—</u>
	421,097	470,987
Loose Tools [at cost]	2,646	3,751
	<u>1,739,051</u>	<u>2,008,192</u>

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	As at 31.03.2003	As at 31.03.2002
11. SUNDRY DEBTORS		
Exceeding six months	46,442	79,982
Other Debts	56,793	162,920
	103,235	242,902
Less : Provision for doubtful debts	41,411	33,406
	61,824	209,496
Particulars of Debt :		
Unsecured – Considered Good	61,824	209,496
Considered Doubtful	41,411	33,406
	103,235	242,902
12. CASH & BANK BALANCES		
Cash & Stamps in Hand	16,895	1,708
Cheques/Draft in Hand	1,105,503	475,941
Remittance-in-Transit	32,399	1,420
Balance with Scheduled Banks on :		
i) Fixed Deposit Accounts	52,323 *	213,364
ii) Current Accounts	80,407	100,060
iii) Margin Money	692	992
	133,422	314,416
	1,288,219	793,485
* The Fixed Deposits are earmarked for Repayment of Principal and Interest on Bonds.		
13. OTHER CURRENT ASSETS		
Interest Accrued on :		
– Loans/Advances/Deposits and Others	20,361	25,334
	20,361	25,334
14. LOANS AND ADVANCES		
Loans	15,112	16,479
Advances Recoverable in Cash or in Kind or for Value to be Received	115,986	145,311
Claims Recoverable	41,137	82,953
Deposits	370,856	334,388
Balance with Customs, Port Trust, etc.	9,201	14,746
	552,292	593,877
Less : Provision for Doubtful Advances and Claims	59,949	62,344
	492,343	531,533
Particulars of Loans & Advances :		
Considered Good – Secured	10,394	15,853
– Unsecured	481,949	515,680
Considered Doubtful	59,949	62,344
	552,292	593,877
Note : Amount due from Director	—	—
Amount due from an Officer	—	—
Maximum amount Due at any Time During the year from : – Director	—	—
– Officer	—	1

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	As at 31.03.2003	As at 31.03.2002
15. CURRENT LIABILITIES & PROVISIONS		
Current Liabilities :		
Sundry Creditors – Others	1,336,913	1,819,437
Sundry Creditors – SSI Units	52,324	65,322
Security & Earnest Money Deposits	195,446	179,805
Grants-in-Aid		
As per last Balance Sheet	261,153	17,752
Add : Received during the year	2,200,000	4,400,000
	2,461,153	4,417,752
Less : Transfer to P/L A/C	1,283,336	4,156,599
	1,177,817	261,153
Other Liabilities	638,036	745,333
Interest Accrued But not Due on Loans	70,972	94,864
	3,471,508	3,165,914
Provisions :		
Wealth Tax	6,282	5,282
Others	383,521	321,777
	389,803	327,059
	<u>3,861,311</u>	<u>3,492,973</u>
16. MISCELLANEOUS EXPENDITURE		
(To the extent not written off or adjusted)		
Major overhaul of Smelter/Refinery		
Balance as per last Balance Sheet	25,498	50,995
Expenditure During the year :		
Stores	—	—
Spares	—	—
Maintenance Plant (contractual)	—	—
	—	—
Less : Charged off during the year :		
Stores	9,038	9,038
Spares	3,502	3,502
Maintenance Plant (contractual)	12,958	12,957
Maintenance Others (contractual)	—	—
	25,498	25,497
	—	25,498
Voluntary Retirement Compensation		
Balance as per last Balance Sheet	48,656	2,630,298
Add : Expenditure During the year	1,283,336	1,647,695
	1,331,992	4,277,993
Less : Charged to P/L Account	1,331,992	4,229,337
	—	48,656
	—	74,154

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	2002-03	2001-02
17. OTHER INCOME		
Sale of Scrap	29,469	26,351
Profit on sale of Fixed Assets (net)	442	727
Profit on sale of Stores (net)	518	156
Interest :		
– on Loans, Advances, Deposits etc.	10,430	8,443
– Received from Customers	15,056	16,845
Claims	7,480	3,539
Provisions written back	5,820	177,036
Miscellaneous	31,377	22,951
	<u>100,592</u>	<u>256,048</u>
18. INCREASE/(DECREASE) IN STOCK OF FINISHED GOODS, SEMI-FINISHED & IN-PROCESS		
Opening Stock :		
Finished Goods	265,891	603,595
Adjustment	(1,360)	—
	<u>264,531</u>	<u>603,595</u>
Semi-Finished and In-Process	1,261,448	1,368,725
Total Opening Stock	<u>1,525,979</u>	<u>1,972,320</u>
Closing Stock :		
Finished Goods	318,302	265,891
Semi-Finished & In-Process	1,061,270	1,261,448
Total Closing Stock	<u>1,379,572</u>	<u>1,527,339</u>
Increase/(Decrease)	<u>(146,407)</u>	<u>(444,981)</u>
19. MATERIALS, SPARES & COMPONENTS		
Raw Materials Consumed	777,730	1,062,257
Stores, Spares & Tools Consumed	439,631	545,683
Value of Ore Raised During Mine Development	3,807	2,590
	<u>1,221,168</u>	<u>1,610,530</u>
20. EMPLOYEES' REMUNERATION & BENEFITS		
Salaries, Wages & Allowances	952,073	1,087,074
Bonus/Ex-gratia	520	496
Contribution to Provident & Other funds	99,997	114,295
Workmen & Staff Welfare	73,115	82,604
Gratuity	21,820	20,461
	<u>1,147,525</u>	<u>1,304,930</u>

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	2002-03	2001-02
21. OTHER EXPENSES OF MANUFACTURING, ADMINISTRATION, SELLING & DISTRIBUTION		
Power, Fuel & Water	1,502,883	1,684,203
Repairs :		
Building	5,027	4,879
Plant & Machinery	38,589	41,762
Others	20,199	20,712
	63,815*	67,353
Major Overhaul Expenditure	25,498**	25,497
Royalty, Cess & Decretal amount	88,921	91,642
Insurance	12,864	14,956
Rent	5,756	8,983
Rates & Taxes	11,470	12,038
Remuneration to Auditors :		
Audit Fees :		
– Statutory Audit Fees	303	288
– Tax Audit Fees	114	109
– Other Capacity	296	84
– For Expenses	73	135
	786	616
– Cost Audit Fees	40	40
– For Expenses	2	4
	42	44
Internal Audit Fees & Expenses	574	144
– For Expenses	219	179
	793	323
Director's Fees	14	18
Handling & Transportation	240,236	269,977
Donation	20	—
Commission	827	933
Loss/(Gain) on Exchange Fluctuation	(13,238)	31,962
Miscellaneous	138,849	155,264
	<u>2,079,536</u>	<u>2,363,809</u>

* Repairs carried out departmentally does not include expenditure of Salary & Wages Rs. 320,136 thousand, stores and spares consumed Rs. 236,662 thousand (Prev. Yr. Rs. 340,800 thousand & Rs. 308,810 thousand respectively) which have been shown under respective Heads of accounts.

** Refer Schedule 16

SCHEDULE TO ACCOUNTS

as on March 31, 2003

		(Rs. '000)
	2002-03	2001-02
22. PRIOR YEARS' NET DEBITS/(CREDITS)		
Debits :		
Salaries, Wages and Allowances	522	109
Repairs and Maint. Plant and Machinery and Others	30	—
Raw Materials, Stores, Spares and Tools Consumed	6,417	22,579
Depreciation	48	—
Power & Fuel	2,288	817
Sales	2,608	—
Excise Duty	—	(2,196)
Workmen and Staff Welfare	1	7
Miscellaneous Expenses	1,543	795
	<u>13,457</u>	<u>22,111</u>
Credit :		
Miscellaneous Income	268	11
	<u>268</u>	<u>11</u>
Net Debit/(Credit)	<u>13,189</u>	<u>22,100</u>
23. INTEREST		
Cash Credit	168,443	177,122
Redeemable Bonds	97,699	179,820
Redeemable Bonds-GOI Guaranteed	159,750	—
IDBI Loan	—	140,404
Debentures	140,000	140,000
Others	29,806	36,979
	<u>595,698</u>	<u>674,325</u>
24. PROVISIONS, LOSSES & WRITE OFF		
Provisions for :		
– Stores Discrepancies	2	119
– Doubtful Debts, Advances & Claims etc.	14,212	3,042
– Stores and Spares of irregular use	1,759	—
– Loss of Fixed Assets and Inventory	1,854	27,030
– Capital Work-in-Progress	11,109	102,118
– Wealth tax	1,000	1,000
– Non-moving/Obsolete stock/Spares	3,416	29,728
– Delayed payment of Pension	—	106
– Mining lease	11,285	—
– Closure of Mines – Fixed Assets	4,561	13,309
– Mine Development Expenditure	47,609	121,638
	<u>96,807</u>	<u>298,090</u>
Write-off :		
– Advances/Claims	—	42
	<u>—</u>	<u>42</u>
	<u>96,807</u>	<u>298,132</u>

SCHEDULES TO ACCOUNTS

as on March 31, 2003

25. NOTES TO ACCOUNTS

		(Rs.'000)
	2002-03	2001-02
1. Estimated amount of capital commitments	208,559	215,271
2. Contingent liability being claims not acknowledged as debts		
a. Sales Tax	336,753	365,940
b. Excise Duty	329,280	198,284
c. Others	2,020,041	1,608,828
3. Pending finalisation of lease agreement by State Governments in respect of leasehold lands the amortisation has been made for the ad-hoc payment made so far. However, freehold land has been transferred in the name of the company in the records of the state Governments without execution of formal deeds for the same.		
4. Title Deeds of immovable assets acquired on nationalisation at Indian Copper Complex are not available with the company.		
5. Balance shown under Sundry Creditors, Sundry Debtors, Loans, Advances, Claims Recoverable, Materials in Transit and Stock Lying with Third Parties are subject to confirmation by the parties.		
6. Amount of outstanding liability of Rs. 52,323 thousand (previous year Rs.65,322 thousand) remained unpaid to Small Scale and Ancillary Industrial Undertaking. In the absence of specific claims for interest on overdue amounts, no provision has been made.		
7. At ICC Unit the plants under Package I and III of Pollution Control Projects amounting to Rs.210,050 thousand have not been capitalised pending non-completion of trial/guarantee runs as per contract. As a matter of prudence, a provision amounting to Rs.22,182 thousand has been made in the accounts to take care of efflux of time.		
8. In the opinion of the management, the current assets, loans and advances and deposits have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated.		
9. The dispute in respect of electricity duty with MP State Electricity Board in case of MCP Unit is still pending with Hon'ble Supreme Court. Pending final decision by the Court, amount paid over and above the admitted liability has been shown in "advance recoverable". Contingent liability and advance recoverable in this respect at the close of the year stood at Rs. 465,227 thousand (previous year Rs.415,561 thousand) and Rs.217,227 thousand (previous year Rs.186,761 thousand) respectively.		
10. Interest on arrear fuel surcharge payable to Bihar State Electricity Board/Jharkhand State Electricity Board from July 1993 to March 2003 has not been considered pending finalisation/reconciliation of the same with the Board. Claims, if any, have not been acknowledged by the company.		
11. The company has suspended operation of the Fertilizer Plant at Khetri Copper Complex in view of its uneconomical operation. Management is actively considering closure of the plant. However, required depreciation has been provided to take care of efflux of time.		
12. The company has closed Mosaboni Group of Mines including Badia, Pathargora, Kendadih and also Rakha Mines. Out of total book value of fixed assets of Rs.177,329 thousand relating to these mines, assets worth of		

SCHEDULES TO ACCOUNTS

as on March 31, 2003

Rs. 60,710 thousand have been identified as condemned. However, pending segregation between all these condemned items which have either realisable value or any benefit are likely to be accrued from such assets including other assets, a provision of Rs.45,557 thousand has been made as abundant prudence to cover any likely loss on this account.

13. Surda Mines, Mosaboni Concentrator and other associated facilities, having been closed in June 2003, with the approval of the Ministry of Labour, unamortised mine development expenditure of Rs.47,609 thousand have been fully provided for. However, no further provision has been made in the accounts for other related assets pending assessment of their realisable value.
14. Pending final decision regarding provisional allotment of land at Dahigora to the employees, no effect has been given in the accounts.
15. The permission order from the Ministry of Labour, Govt. of India, for closure of mining activity at KCC on account of the same being uneconomical, has been challenged in the High Court from where a direction has been given to the Ministry of Labour to review the decision taking into consideration of the points of the Trade Unions. The company has suspended the mining operation at Khetri Mines from January 2003. Since the matter is still pending with the Ministry the consequential accounting effects relating to closure of mines have been kept in abeyance.
16. The company has carried forward losses and unabsorbed depreciation amounting to Rs.7,132,227 as on 31.03.2002 but company has not recognised deferred tax assets in its books of account as a matter of prudence *inter alia* paucity of sufficient taxable income in foreseeable future against which the deferred tax asset may be realised. This is pursuant to the provision as envisaged in Accounting Standard 22.
17. The company is primarily engaged in the business of manufacture and sale of copper products. Hence, the income and expenditure has been reported in a single segment. The said treatment is in accordance with Accounting Standard "Segment Reporting (AS-17)".
18. VR expenses include Rs.48,460 thousand which could not be disbursed within 31st March, 2003.
19. There has not been any transaction with parties/companies where any of the Directors of HCL is interested.
20. The numerators and denominators used to calculate basic and diluted EPS :

– Profit/Loss) attributable to equity shareholders	(A) (–) 1,476,990 thousand
– Basic/weighted average number of equity shares outstanding during the year	(B) 362,878,000
– Nominal value of equity shares (Rs.)	10
– Basic/diluted earning per share (Rs.)	(A)/(B) (–) 4.07
21. The company has identified various spares related to specific plant and machinery but irregular in use in KCC and TCP units against which depreciation/provision for the year has been made in the accounts. Similar identification process is on in other units.
22. Out of total 14% Unsecured Privately Placed Bonds of Rs. 633,300 thousand the company has already paid Rs. 388,300 thousand leaving a balance of Rs. 245,000 thousand even though the bonds are overdue for payment.
23. Previous year's figures have been regrouped/rearranged wherever necessary.

ANNEXURE (Refer Note No. 6 in Schedule No. 25)

Details of SSI Units having balances more than Rs. 1 lakh outstanding
for more than 30 days as on 31.03.2003.

Sl. No.	Name of the Party	Sl. No.	Name of the Party
01.	Atlas India Corporation	30.	Hindustan Facing Industries, Calcutta
02.	Ashoka Machine Tools	31.	Shree Jagannath Ferro Casting
03.	Amruta Industries	32.	Appolo Batteries, Raipur
04.	Suman Industrial Corporation	33.	Metreat Products, Bangalore
05.	Dinesh Engg. Works	34.	Precision Engg. Works, Ranchi
06.	Dujodwala Resin	35.	Jaiswal Steel Enterprises, Bhilai, M.P.
07.	Gajalaxmi Iron Works	36.	R. K. Industries, Adityapur
08.	Goyal Mineral	37.	Subernarekha Enterprises, Ranchi.
09.	Unik Engineers	38.	Ankit Industrial Gases (P) Ltd.
10.	Iemco Industries Pvt. Ltd.	39.	Goel Industries, Jamshedpur
11.	Nagpur Engg. Co. Ltd.	40.	Spair Enterprises, Bangalore
12.	R. K. Industries	41.	Howrah Machinery Works, Ranchi
13.	Refractory Specialiter	42.	Engineering Enterprises
14.	Tirupati Engg. Works	43.	Rollick Industries, Delhi
15.	Unicast Engg. Pvt. Ltd.	44.	R. K. Industries, Jamshedpur
16.	Microtek International	45.	Giriraj Hydraulics Pvt. Ltd., Raipur
17.	Bharat Wood Works	46.	Thejo Engg. Services, Jamshedpur
18.	Castwel Industries	47.	Chhota Nagpur Foundry Ltd., Ranchi
19.	Dee-Tee Industries	48.	Foundry of India
20.	Krishna Packaging	49.	Siva Metal Industries, Kolkata
21.	Laxmi Polyplast Industries	50.	Utkal Moulders, Calcutta
22.	Deepak Engg. Works	51.	Alpha Carbon Brash Mfg. Co.
23.	Varun Polypack	52.	Deepak Engg. Co.
24.	Suyog Chemicals (P), Nagpur	53.	Goel Industries
25.	Vulcan Industrial Engg. Co., Bombay	54.	Iemco Industries Ltd.
26.	Premier Rubber Mills, Gurgaon	55.	Kamal Industrial Concern
27.	Orliece Engg. Enterprises	56.	K. N. Welding & Engg.
28.	G. V. N. Metal Handling (P) Ltd. Delhi	57.	Precision Engineering Co.
29.	M. A. S. Industries, Ranchi		

SCHEDULES TO ACCOUNTS

as on March 31, 2003

25. NOTES TO ACCOUNTS

24. Additional information

24.1 Capacities, production, stocks and sales

Class of goods	Unit	Licenced capacity	Installed capacity (As certified by m	Actual Production anagement)
A. Manufacturing Activities				
a. Main products				
1. Wire bar	MT	39400	39400	1945
	”	(39400)	(39400)	(4698)
2. Wire rod	MT	60000	60000	30346
	”	(60000)	(60000)	(29583)
3. Cathode	MT	NA	NA	36575
	”	(NA)	(NA)	(40217)
4. Single super phosphate	MT	Total capacity for manufacture of P ₂ O ₅ not to exceed 90,000 M.T.p.a.	—	—
	”		(—)	(—)
b. By-products				
1. Gypsum	MT	300000	300000	—
	”	(300000)	(300000)	(—)
2. Gold	KG	264	698	354
	”	(264)	(698)	(335)
3. Silver	KG	4763	9868	6178
	”	(4763)	(9868)	(5848)
4. Nickel sulphate	MT	250	390	75
	”	(250)	(390)	(151)
5. Selenium	KG	10000	14600	6648
	”	(10000)	(14600)	(9750)
6. Sulphuric acid	MT	236000	236000	29004
	”	(236000)	(236000)	(45847)
7. Tellurium	KG	NA	—	65
	”	(NA)	(—)	(—)

SCHEDULES TO ACCOUNTS

as on March 31, 2003

Year 2002-2003

(Figures in brackets pertains to previous year)

Opening Stock Quantity	Value (Rs '000)	Closing Stock Quantity	Value (Rs '000)	Sales Quantity	Value (Rs '000)	Issued for internal consumption/ intermediate products and others Quantity
470	60773	7	804	2366	307980	42
(531)	(76737)	(470)	(60773)	(4756)	(615390)	(3)
493	63609	1111	139555	29707	3743573	20
(2380)	(331254)	(493)	(63609)	(31603)	(4027502)	(-133)
749	86325	797	92723	5114	604907	31413
(928)	(117853)	(749)	(86325)	(8925)	(1053900)	(31472)
—	—	—	—	—	—	—
(—)	(—)	(—)	(—)	(—)	(—)	(—)
—	—	—	—	—	—	—
(—)	(—)	(—)	(—)	(—)	(—)	(—)
11	4448	—	15	364	190479	1
(18)	(6986)	(11)	(4448)	(342)	(152886)	(—)
616	4329	1287	8748	5507	43001	—
(309)	(2169)	(616)	(4329)	(5541)	(40476)	(—)
30	2849	16	1810	89	9750	—
(12)	(1122)	(30)	(2849)	(133)	(13151)	(—)
4607	3231	730	296	10525	4283	—
(2757)	(1278)	(4607)	(3231)	(7899)	(3662)	(1)
7591	10843	3399	7228	30789	49092	2407
(4160)	(4841)	(7591)	(10843)	(40278)	(54683)	(2138)
18	27	34	79	49	114	—
(—)	(—)	(—)	(27)	(—)	(85)	(—)

SCHEDULES TO ACCOUNTS

as on March 31, 2003

25. NOTES TO ACCOUNTS (Contd.)

24. Additional information

24.1 Capacities, production, stocks and sales

Class of goods	Unit	Licenced capacity	Installed capacity (As certified by management)	Actual Production
c. Allied and semi-finished products				
1. Anode slime	MT	NA	—	45
	"	(NA)	—	(40)
2. Copper turnings	MT	NA	—	—
	"	(NA)	—	(246)
3. Copper mould	MT	NA	—	59
	"	(NA)	—	(20)
4. Kyanite	MT	NA	—	—
	"	(NA)	—	(—)
5. Others	MT	NA	—	—
	"	(NA)	—	(—)
Grand Total				

Notes :

- * Opening stock includes value of Sulphuric Acid Rs. 5689 thousand and Anode Mould Rs. 2713 thousand which were shown under Work-in-Progress in the previous year closing stock.
- ** Closing stock includes value of Sulphuric Acid Rs. 5397 thousand (Previous year Rs. 5689 thousand) and Anode Mould Rs. 2695 thousand (Previous year Rs. 2713 thousand) which are shown in Work-in-Progress.
- *** Excludes Sales of HFSA Nil (Previous year Rs. 40 thousand) and Sale of Reverts Rs. 99732 thousand (Previous year Rs. 48801 thousand) and Ore Rs. 3 thousand (Previous year Nil).

SCHEDULES TO ACCOUNTS

as on March 31, 2003

Year 2002-2003

(Figures in brackets pertains to previous year)

Opening Stock Quantity	Value (Rs '000)	Closing Stock Quantity	Value (Rs '000)	Sales Quantity	Value (Rs '000)	Issued for internal consumption/ intermediate products other Quantity
6	10222	9	25413	—	—	42
(5)	(7408)	(6)	(10222)	(—)	(—)	(39)
1	88	—	—	—	—	1
(1)	(45)	(1)	(88)	(197)	(14206)	(49)
51	4547	51	4528	—	—	59
(66)	(6271)	(51)	(4547)	(20)	(2475)	(15)
13	8	13	8	—	—	—
(13)	(8)	(13)	(8)	(—)	(—)	(—)
—	22994	—	45187	—	3848	—
(—)	(53092)	(—)	(22994)	(—)	(22582)	(—)
	274293* (609065)		326394** (274293)		4957026*** (6000998)	

SCHEDULES TO ACCOUNTS

as on March 31, 2003

25. NOTES TO ACCOUNTS (Contd.)

24. Additional information

24.2 Raw Materials consumed

	Quantity		Value	
	2002-2003	2001-2002	2002-2003	2001-2002
	MT	MT	Rs. '000	Rs. '000
Concentrate excluding own production	23815	46064	613674	878242
Rock phosphate	—	—	—	—
Cathode	1508	1883	164056	184016

24.3 Imported and indigenous raw materials, stores, spare parts and components consumed (as certified by the management)

	%	%		
Raw Materials :				
Imported	78.26	81.51	608628	865828
Indigenous	21.74	18.49	169101	196430
	100.00	100.00	777730	1,062258

Stores & Spares :

(Including Mine Development)

Imported	3.69	4.07	22010	28567
Indigenous	96.31	95.93	574080	672656
	100.00	100.00	596090	701223

24.4 C.I.F. Value of Imports

Raw Material	447532	907446
Components, spare parts and store	51364	32097
Capital goods	—	429
	498895	939972

24.5 Expenditure in foreign currency

Technical Know-how	—	—
Travelling	—	170
Advertisement	—	—
Professional consultation fees	—	—
Others	—	—
	—	170

SCHEDULES TO ACCOUNTS

as on March 31, 2003

25. NOTES TO ACCOUNTS (Contd.)

	2002-2003 Rs. '000	2001-2002 Rs. '000
24.6 Earning in foreign exchange		
Export of goods (FOB)	99,732	48,801
	<u>99,732</u>	<u>48,801</u>
24.7 Payment to Whole-time Directors		
Salaries and allowances	759	910
Company's contribution to provident and other funds	91	109
Re-imbursment of medical expenses	14	22
Leave encashment	—	147
Gratuity	—	272

Note :

In addition the Whole-time Directors are allowed the use of company car for private purpose and have been provided with residential accommodation as per terms of their appointment and the charges are recovered at the rates prescribed by the Government.

CAPITAL EXPENDITURE ON TOWNSHIP AND SOCIAL AMENITIES

as on March 31, 2003

(Rs. '000)					
Assets	Total expenditure upto 31.03.02	Additions/ Adjustments during the year	Total expenditure upto 31.03.03	Depreciation upto 31.03.2003	Depreciated value as at 31.03.2003
Land	3826	—	3826	—	3826
Roads & Bridges	23172	—	23172	8941	14231
Drainage, sewerage & water supply	84029	—	84029	24193	59836
Township building including Hospital quarters & others	422933	583	423516	130592	292924
School & hospital buildings	52126	—	52126	12663	39463
Electrical installations & electrification	37608	8	37616	23584	14032
Hospital Equipments	19549	(-) 1202	18347	11633	6714
Hospitals, Schools & Guest House furniture	5535	1	5536	5105	431
	<u>648778</u>	<u>(-) 610</u>	<u>648168</u>	<u>216711</u>	<u>431457</u>

SOCIAL OVERHEADS INCLUDING EXPENDITURE ON TOWNSHIP

for the year ended March 31, 2003

		(Rs. '000)
	<u>2002-03</u>	<u>2001-02</u>
TOWNSHIP :		
Administration & Maintenance Expenses :		
Employees remuneration & benefits	24321	29623
Power, fuel & water	195669	234895
Consumption of stores/Repairs & maintenance	5710	5902
Depreciation	8024	8197
Others	<u>7504</u>	<u>8970</u>
	241228	287587
Less :		
Township Income	44906	26458
Net expenditure on township	<u>196322</u>	<u>261129</u>
OTHER SOCIAL OVERHEADS :		
Maintenance of school & educational facilities	13312	14224
Less : Receipts	<u>—</u>	<u>—</u>
	13312	14224
Medical Facilities	78991	85846
Less : Receipts	<u>1698</u>	<u>2663</u>
	77293	83183
Staff Welfare	13246	16973
Net expenditure on other social overheads	<u>103851</u>	<u>114380</u>
Total expenditure	<u>300173</u>	<u>375509</u>

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

Amount in Rs. '000

I. Registration Details

Registration No.

2	8	8	2	5
---	---	---	---	---

Balance Sheet Date

3	1	0	3	0	3
---	---	---	---	---	---

State Code

2	1
---	---

II. Capital raised during the year

Public Issue

N	I	L
---	---	---

Bonus Issue

N	I	L
---	---	---

Rights Issue

N	I	L
---	---	---

Private Placement

N	I	L
---	---	---

III. Position of Mobilisation and Deployment of Funds

Total Liabilities

1	2	9	8	4	5	6	5
---	---	---	---	---	---	---	---

Sources of Funds
Paid up Capital

5	4	3	6	1	0	4
---	---	---	---	---	---	---

Secured Loans

2	5	1	5	0	0	0
---	---	---	---	---	---	---

*

Total Assets

1	2	9	8	4	5	6	5
---	---	---	---	---	---	---	---

Reserves & Surplus

6	9	1	6	9
---	---	---	---	---

* Share money received from Government of India awaiting allotment of Equity Shares

Secured Loans

4	3	1	3	0	7	0
---	---	---	---	---	---	---

Application of Funds
Net Fixed Assets

5	4	4	3	4	2	4
---	---	---	---	---	---	---

Net Current Assets

(	2	5	9	5	1	3	)
---	---	---	---	---	---	---	---

Accumulated Losses

7	8	0	0	6	3	2
---	---	---	---	---	---	---

Unsecured Loans

6	5	1	2	2	2
---	---	---	---	---	---

Investments

2	2
---	---

Misc. Expenditure

		N	I	L
--	--	---	---	---

IV. Performance of Company

Turnover

5	1	6	1	7	0	2
---	---	---	---	---	---	---

*
Profit/(Loss) Before Tax

(	1	4	7	6	9	9	0	)
---	---	---	---	---	---	---	---	---

Earning Per Share (in Rs.)

(-)	4.07
-----	------

Total Expenditure

6	6	3	8	6	9	2
---	---	---	---	---	---	---

Profit/(Loss) After Tax

(	1	4	7	6	9	9	0	)
---	---	---	---	---	---	---	---	---

Dividend Rate (%)

N	I	L
---	---	---

* includes Other income and Internal issues.

V. Generic Names of Three Principal Products/Services of Company

- (i) Item Code No. (ITC Code)

7403.12

Product Description Copper Wire Bar
- (ii) Item Code No. (ITC Code)

7407.10

Product Description Copper Wire Rod
- (iii) Item Code No. (ITC Code)

7403.11

Product Description Refined Copper Cathode

CASH FLOW STATEMENT

for the year ended March 31, 2003

(Rs. '000)

Pursuant to Clause 32 of Listing Agreement with Stock Exchanges

A. CASH FLOW FROM OPERATING ACTIVITIES :

NET PROFIT/(LOSS) BEFORE TAX AND EXTRA-ORDINARY ITEMS		(1,476,990)
Adjusted for :		
Depreciation	179,988	
Provisions charged	96,807	
Provisions written back	(5,820)	
Interest charged	595,698	
Amortisation	397,067	
Interest income	(25,486)	
Shut down expenditure charged off	25,498	
Voluntary Retirement expenditure written off	1,331,992	
Grant in Aid from Govt. of India utilised	(1,283,336)	
Gain on disposal of Fixed Assets	(442)	1,311,966
OPERATING PROFIT/(LOSS) BEFORE WORKING CAPITAL CHANGES		(165,024)
Adjusted for :		
Decrease in Trade & other Receivables	139,667	
Decrease in Inventories	265,389	
Decrease in Loans & Advances	41,585	
Decrease in Trade Payables & Provisions	(542,996)	(96,355)
CASH GENERATED FROM OPERATIONS		(261,379)
Interest paid		(622,013)
NET CASH FROM OPERATING ACTIVITIES BEFORE EXTRA-ORDINARY ITEMS		(883,392)
Expenditure on Voluntary Retirement		(1,283,336)
Grant in Aid received from Govt. of India		2,200,000
NET CASH FROM OPERATING ACTIVITIES AFTER EXTRA-ORDINARY ITEMS (A)		33,272

B. CASH FLOW FROM INVESTING ACTIVITIES :

Purchase of Fixed Assets	(96,389)	
Sale of Fixed Assets	20,323	
Interest received	30,459	
Mine Development Expenditure	(319,312)	
NET CASH USED IN INVESTING ACTIVITIES (B)		(364,919)

C. CASH FLOW FROM FINANCING ACTIVITIES :

Share money received from Govt. of India	850,000	
Decrease in Unsecured Loans	(110,256)	
Redemption of 14.00% Privately placed bonds	(87,800)	
NET CASH USED IN FINANCING ACTIVITIES (C)		651,944
NET INCREASE IN CASH AND CASH EQUIVALENTS (A+B+C)		320,297
CASH AND CASH EQUIVALENTS – opening balance		(426,948)
CASH AND CASH EQUIVALENTS – closing balance		(106,651)
(details in Annexure – A)		

For and on behalf of the Board of Directors

B. K. Menon	Chairman-cum-Managing Director
S. K. Kar	Director (Finance)
C. S. Singhi	Company Secretary

Dated : July 23, 2003

Place : New Delhi

CASH FLOW STATEMENT *(Contd.)*

(Rs. '000)

ANNEXURE – A

CASH AND CASH EQUIVALENTS – opening balance as on 01.04.2002

i) Cash & Bank balance	793,485
ii) Cash Credit balance	(1,220,433)
	<u>(426,948)</u>

CASH AND CASH EQUIVALENTS – closing balance as on 31.03.2003

i) Cash & Bank balance	1,288,219
ii) Cash Credit balance	(1,394,870)
	<u>(106,651)</u>

Auditors' Certificate

To
Hindustan Copper Limited
“Tamra Bhavan”
1, Ashutosh Chowdhury Avenue
Kolkata - 700 019

We have examined the attached Cash Flow Statement of Hindustan Copper Limited for the year ended March 31, 2003. The Statement has been prepared by the Company in accordance with the requirements of Clause 32 of the listing agreements with stock exchanges based on and in agreement with the corresponding profit & loss account and balance sheet of the Company covered by our report of July 23, 2003 to the members of the Company.

For DINESH MEHTA & CO.
Chartered Accountants

Dinesh Mehta
Partner

Dated : July 23, 2003
Place : New Delhi

For M. C. BHANDARI & CO.
Chartered Accountants

M. R. Jain
Partner